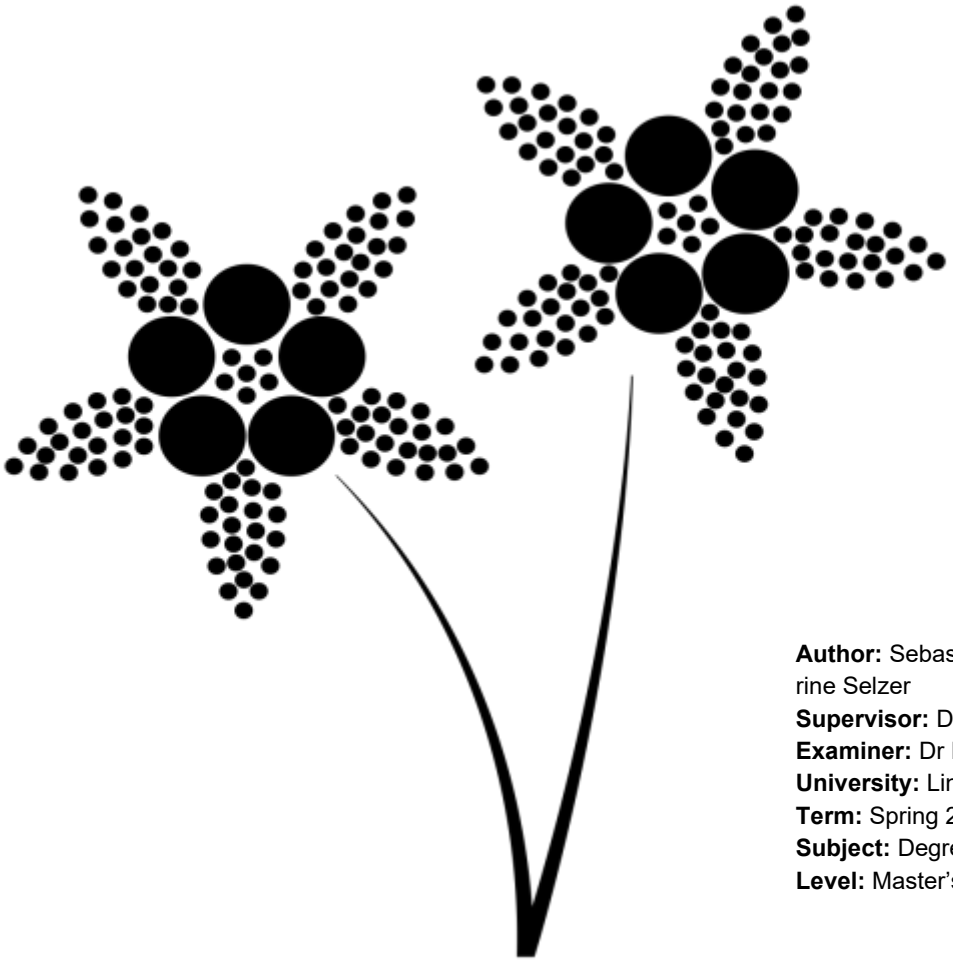
Linnæus University

Master Thesis

Adapting without retreating

Swedish and German SMEs in an uncertain U.S. market



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Abstract

Rising geoeconomic fragmentation — driven by trade tensions, tariff policies, and the strategic use of economic instruments for geopolitical purposes — is reshaping international business conditions. While research has examined how large multinationals respond to these developments, the implications for SMEs remain underexplored. This thesis examines how Swedish and German SMEs respond strategically to geoeconomic uncertainty in the U.S. market.

Using an interpretivist, qualitative multiple case study design, empirical data were collected through semi-structured interviews conducted in spring 2026 across seven companies with direct or advisory U.S. market exposure and analyzed through inductive thematic analysis.

The central finding is that SMEs respond through continuity-preserving adaptation rather than retreat. Despite describing the U.S. environment in stark terms, no firm reported considering withdrawal. Instead, firms preserved market commitment while protecting flexibility through multiple supplier relationships, distributor-based servicing, deepened local partnerships, and collective industry engagement. Variation between firms was better explained by industry exposure and managerial interpretation of whether uncertainty is temporary or structural than by Swedish or German institutional context — contrary to the expectations of the varieties of capitalism framework.

The study contributes to research on geoeconomic risk, SME internationalization, real options theory, and the Uppsala model by showing that local embeddedness functions as a capability substitute, that reactivity can represent rational option-preservation, and that managerial cognition mediates between perceived uncertainty and strategic response.

Keywords

Geoeconomic uncertainty, SMEs, strategic adaptation, deglobalization, local embeddedness, managerial cognition

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Nathalie Selzer & Sebastian Ljung

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Abbreviations

Artificial Intelligence	AI
Central Innovation Programme for SMEs	ZIM
Coordinated market economy	CME
European Union	EU
General Data Protection Regulation	GDPR
Germany Trade and Invest	GTAI
International Business	IB
Liberal market economy	LME
Multinational Enterprise	MNE
No date	n.d.
Not available	n.a.
Small and Medium-sized Enterprise	SME
UK	United Kingdom
United States of America	U.S.
United States-Mexico-Canada Agreement	USMCA

1 Introduction

The first section of this chapter explains the background to our work. Section 1.2 presents the research gap regarding SMEs and global fragmentation that this research study aims to address, followed by the purpose of the research in section 1.3. Section 1.4 then outlines the research questions, and Section 1.5 concludes with the delimitation of the research study.

1.1 Background

In recent years increasing protectionism and international conflicts worldwide have led to growing geoeconomic fragmentation, fundamentally reshaping the global business environment. Escalating trade tensions, increasing regulatory differences, and a general trend toward deglobalization are transforming international markets and the conditions under which companies operate across borders.

Mohr and Trebesch (2025) define geoeconomics as a field of research that examines the interrelationships between economic processes and geopolitical dynamics. According to their understanding, geoeconomics analyzes in particular the relationship between political rivalries, economic policy decisions and their outcomes. In a similar theoretical framework, Thoenig (2024) describes geoeconomics as a field of study that focuses on the interaction between diplomacy, geopolitics, and international trade. Schneider-Petsinger (2020) also emphasizes the interplay of geopolitical interests, strategic considerations, and international economics as constitutive elements of geoeconomic analysis. In contrast, Clayton et al. (2026) primarily understand geoeconomics as a state strategy in which governments use their economic power in a targeted manner to achieve political and economic objectives.

What all definitions have in common is that they link political dimensions with economic factors. However, this thesis is based exclusively on the definition provided by Clayton et al. (2026), as it is one of the most recent conceptualizations of the phenomenon and is considered particularly suitable for the context and

objectives for this research. This concept describes geoeconomics as an instrument used by hegemonic states that strategically exploit their financial and economic resources to skim political and economic surplus from other states. This is done primarily through commercial channels, for example by restricting access to certain goods, through selective delivery or procurement stops, and by terminating financial and technological relationships (Clayton et al., 2026).

However, the question of restrictions on trade is particularly relevant to our research. Since 2020, a sharp increase in these trade restrictions has been observed. While approximately 3,000 new measures were registered annually between 2009 and 2019, the number doubled to around 6,000 in 2020 and has remained at approximately that level ever since. Among the G20 countries, approximately two-thirds of the measures introduced in recent years can be attributed to sanctions. While some of these sanctions were imposed in response to the Russia-Ukraine war, the largest shares originated from the United States (U.S.) (23 percent) and China (17 percent) (Deutsche Bundesbank, 2024).

One of the most recent examples is the series of tariffs repeatedly announced by U.S. President Donald Trump, some of which have already been implemented. Particularly notable was the so called “Liberation Day” on April 2, 2025, when he imposed tariffs of 10% on imports from all countries worldwide and announced even higher percentages for countless countries. However, an examination of overall U.S. tariff policy in 2025 shows that these announcements are frequently followed by reversals or adjustments by the U.S. government, including changes to tariff rates and delays to their implementation dates (AP News, 2025).

While developments relating to multinational enterprises (MNEs) have already attracted considerable attention in academia (Witt et al., 2023; Baldermann et al., 2025), far less is known about how small and medium-sized enterprises (SMEs) respond to them. In our research, we focus in particular on SMEs from advanced and export-oriented economies such as Sweden and Germany. As mentioned above, the U.S. accounts for the largest share of sanctions imposed worldwide, so we focus

exclusively on companies operating in the strategically important but politically complex U.S. market.

The European Union defines SMEs as companies with fewer than 250 employees and less than €50 million in turnover or less than €43 million in balance sheet total. There are distinctions between micro, small, and medium-sized enterprises, but these subdivisions are not relevant to our research (European Commission, n.d.).

The U.S. has a central position in the internationalization strategies of companies from both countries. For Sweden, the U.S. represents the second-largest export market and the single most important destination for foreign direct investment, particularly in high-technology and advanced service sectors (Government Offices of Sweden, 2023). “Business Sweden's Business Climate Survey USA 2025” further confirms the market's strategic relevance, reporting that over one thousand Swedish-affiliated companies remain active in the U.S., with 58 percent of surveyed companies planning to increase their investments despite mounting uncertainty stemming from the Trump administration's tariff policies and a notably more cautious business climate perception compared to recent years (Business Sweden, 2025). At the same time, respondents highlight increasing challenges related to regulatory complexity, divergent standards, and differing consumer expectations, indicating that continued engagement with the U.S. market requires firm-level strategic adaptation rather than passive market participation.

Germany maintains similarly close trade and investment relations with the U.S., with more than 100,000 German SMEs currently exporting to this market and generating a total of between €30 billion and €50 billion (Abel-Koch, 2017). With total exports to the U.S. amounting to €149.9 billion in 2024, this represents a share of approximately 33%. Looking at these figures over the past few years, it can be seen that the value has fallen by 9.4% in 2025 compared to 2024. As a result of this development, the U.S. also loses its title as Germany's most important trading partner to China, which it still held in 2024. In addition to motor vehicles/parts and machinery, Germany's most important export goods to the U.S. are pharmaceutical products (Statistisches Bundesamt, 2026).

Previous studies suggest that SMEs are more vulnerable to geoeconomic shocks than larger companies, mainly because they have fewer financial buffers, less diversified business areas, and more limited access to legal and political resources. Choudhury et al. (2025) show that SMEs suffered greater losses during major global crises, such as the COVID-19 pandemic and the war between Russia and Ukraine and recovered more slowly due to their lower operational resilience. Similarly, Piserà et al. (2025) show that smaller European companies experienced significantly higher negative anomalies in returns following the announcement of U.S. tariffs, suggesting increased vulnerability to transatlantic political fluctuations.

Onohwakpo (2025) confirms these findings through her research. In her study, she examines UK-based SMEs during the Brexit period. She notes a significant decline in SMEs entering international markets, to which many companies responded by restructuring their supply chains or refocusing on more stable markets. Although the empirical conditions differ, the results point to a more general pattern whereby geoeconomic uncertainty triggers strategic adjustments among SMEs.

This challenge is particularly noteworthy given the central economic role played by SMEs in both Sweden and Germany. SMEs make a significant contribution to exports, employment, and innovation, but tend to face disproportionately high barriers to internationalization. In Germany, there are approximately 3.14 million SMEs, accounting for 99.3% of all enterprises. These firms employ around 55% of the total workforce (Statista, 2025). A similar pattern can be observed in Sweden, where out of 642,777 companies, 99.8% are SMEs, which in turn account for 55.1% of total employment (Deutscher Mittelstandsbund, 2023).

For this reason, among others, both countries have made the internationalization of SMEs a central pillar of their national trade and competitiveness strategies. Sweden's export strategy explicitly refers to SMEs as “the large enterprises of the future” and emphasizes the need to strengthen their export capacities in order to ensure long-term economic resilience (Government Offices of Sweden, 2015). This commitment is reinforced in the “Strategy for Trade, Investment and Global Competitiveness 2023”, which calls for more effective support for the

internationalization of SMEs and highlights the below-average performance of small and medium-sized enterprises in relation to their export potential (Government Offices of Sweden, 2023). At the same time, the strategy warns that global trade is increasingly characterized by protectionism, geoeconomic rivalry, and security-related trade restrictions. These developments undermine the predictability of regulation and disproportionately affect smaller companies.

Germany also has various programs to promote the internationalization of SMEs. One example is the "Central Innovation Programme for SMEs" (ZIM), which was launched by the Federal Ministry for Economic Affairs and Energy. Under this program, companies can apply for funding earmarked for research and development to promote the development of new products, processes, and technical services (Bundeswirtschaftsministerium, n.d.). Another support program is "Partnering in Business with Germany". This program is specifically aimed at companies that want to expand into new markets. The program is open to both foreign companies seeking to enter the German market and German companies, with the aim of connecting them and enabling mutual support (Federal Ministry for Economic Affairs and Energy, n.d.).

The pressure on SMEs is particularly strong in the U.S. market, where SMEs are not only confronted with shifts in federal trade policy, but also varying regulations, trade rules, and certification requirements at the state level. Unlike large multinational companies, SMEs generally do not have the internal capacity to protect themselves against sudden changes in tariffs, export controls, or market access rules, making them particularly vulnerable to geoeconomic and regulatory shocks. While recent work by Enoksson and Freund (2023) shows that large Swedish multinational companies are already aligning their strategies with geoeconomic orientation and resilience, little is known about how SMEs, which operate under much stricter conditions, respond to similar pressures.

1.2 Problem Discussion

The contextual developments outlined in Section 1.1 — accelerating trade restrictions, growing regulatory fragmentation, and the intensified use of economic instruments as tools of geopolitical pressure — raise a question that existing research has not yet adequately answered: how do SMEs actually respond, strategically and in practice, when geoeconomic uncertainty intensifies in a market as central as the U.S.? Despite the scale and visibility of these developments, the firm-level mechanisms through which SMEs perceive, interpret, and adapt to geoeconomically driven uncertainty remain poorly understood. The following sections identify the key dimensions of this gap, examining first the theoretical limitations of existing International Business (IB) research and then the concrete managerial challenges that motivate this study.

1.2.1 Theoretical Problem

Previous research has primarily examined geoeconomic uncertainty through concepts such as deglobalization, economic decoupling, and geopolitical rivalry, emphasizing the growing role of political dynamics in shaping IB activities (Witt, 2019; Rodrik, 2017). Within this literature, the transition from rules-based multilateralism toward increasingly unilateral and security-driven economic policies is frequently described as a structural shift in the global economy. In particular, recent U.S. trade measures, including tariffs, export controls, investment screening mechanisms, and industrial policy initiative, have increased regulatory fragmentation and uncertainty for foreign firms operating internationally (Witt et al., 2023; Piserà et al., 2025). These developments have altered competitive conditions for European firms operating in the U.S. by affecting supply chains, investment decisions, and cost structures.

Despite these important contributions, existing research has focused predominantly on large MNEs. Such firms are generally portrayed as the primary actors capable of strategically responding to geoeconomic turbulence due to their extensive financial resources, diversified operations, global networks, and political influence.

Consequently, strategic responses to geoeconomic uncertainty, such as supply chain restructuring, regionalization, political lobbying, or market diversification, are largely examined in the context of large corporations (Witt et al., 2023). While this literature has generated valuable insights into firm adaption under conditions of political and economic uncertainty, it provides only limited understanding of how SMEs respond to similar pressures.

This represents a significant theoretical limitation because SMEs differ fundamentally from MNEs in terms of their organizational structures, resource availability, bargaining power, and internationalization patterns. Existing studies suggest that SMEs are generally more vulnerable to geoeconomic uncertainty due to limited financial slack, narrower supply networks, lower political influence, and less diversified market exposure (Sinani & Zilja, 2025; Patsiaouras et al., 2026). Unlike large MNEs, SMEs are often more dependent on specific customers, suppliers, or individual export markets, making them more sensitive to sudden policy changes and regulatory shifts. Consequently, the strategic responses and resilience mechanisms identified in the MNE literature cannot automatically be transferred to SMEs.

Although emerging research indicates that SMEs may respond to geoeconomic uncertainty through strategies such as supply chain diversification, incremental internationalization, reshoring activities, or increased reliance on intermediaries (Onohwakpo, 2025; Bednarski et al., 2025), these findings remain fragmented. Similarly, studies on resilience and dynamic capabilities emphasize the importance of organizational agility, learning orientation, and adaptive capabilities in managing uncertainty (Malik & Terzidis, 2025; Shen et al., 2025). However, these perspectives have rarely been integrated into a coherent framework explaining how SMEs strategically navigate U.S.-centered geoeconomic uncertainty.

Furthermore, comparative research across different European institutional contexts remains limited. Institutional theory suggests that national business systems, export promotion structures, industrial traditions, and regulatory frameworks shape firm behavior. Nevertheless, relatively little is known about how SMEs from different institutional environments respond to similar geoeconomic pressures (Enoksson &

Freund, 2023; Baldermann et al., 2025). Sweden and Germany both represent highly export-oriented economies with strong SME sectors, yet they differ in terms of industrial structure, policy frameworks, and internationalization patterns. A comparative perspective therefore enables a more nuanced understanding of how institutional embeddedness influences strategic adaptation under conditions of uncertainty.

In addition, a large part of the IB literature still implicitly portrays the U.S. market as institutionally stable and predictable. More recent developments challenge this assumption, as the U.S. has increasingly become a source of regulatory volatility and geoeconomic risk for foreign firms (Patsiaouras et al., 2026). Trade protectionism, domestic subsidy programs, export controls, and shifting regulatory standards have created new forms of uncertainty that differ from traditional host-market risks. Despite this shift, limited research has examined how SMEs perceive, interpret, and strategically respond to these changing conditions.

Taken together, these limitations point to a clear theoretical gap. Existing research provides only limited firm-level and comparative insight into how Swedish and German SMEs strategically respond to U.S.-centered geoeconomic uncertainty. Addressing this gap contributes to the literature on geoeconomic risk, SME internationalization, resilience, dynamic capabilities, and comparative institutional analysis by providing a more nuanced understanding of how smaller firms adapt to political driven uncertainty in international markets.

1.2.2 **Managerial Challenge**

Alongside the theoretical gap, a significant managerial challenge has emerged for SMEs operating internationally. Firms active in the U.S. market increasingly faces a more politized and uncertain business environment characterized by trade restrictions, export controls, subsidy schemes linked to domestic production requirements, and shifting regulatory standards. These developments directly influence strategic decision-making and create growing uncertainty regarding future market conditions (Witt et al., 2023; Piserà et al., 2025; Deutsche Bundesbank, 2024).

Compared to large MNEs, SMEs typically possess fewer financial resources, more limited market diversification, and lower organizational flexibility to absorb sudden geopolitical or regulatory shocks. Many SMEs depend on concentrated supplier networks, individual export markets, or specific customer segments, making them particular vulnerable to policy-driven disruptions (Sinani & Zilja, 2025; Patsiaouras et al., 2026). Research further suggests that SMEs are disproportionately affected by external crises and require longer recovery periods due to lower operational resilience and fewer financial buffers (Choudhury et al., 2025)

At the same time, SMEs often lack the internal resources required to systematically monitor geoeconomic developments or engage effectively in non-market strategies aimed at influencing political or regulatory outcomes (Witt et al., 2023). This creates additional pressure on managers who must increasingly respond to rapidly changing geopolitical and regulatory conditions while maintaining competitiveness and operational stability.

As a result, managers face increasingly complex strategic decisions regarding market commitment, supply chain configuration, investment allocation, and international expansion. SMEs must decide whether to maintain or deepen their involvement in the U.S. market, diversify toward alternative markets, regionalize operations, or restructure supply chains to reduce regulatory exposure. Existing studies indicate that periods of geoeconomic uncertainty often led SMEs to adopt more cautious and incremental internationalization strategies (Onohwakpo, 2025; Bednarski et al., 2025).

For Swedish and German SMEs specifically, the U.S. remains strategically important despite increasing uncertainty. Business Sweden's "Business Climate Survey USA 2025" reports that a majority of Swedish firms still plan to expand investments in the U.S. market despite growing concerns regarding tariffs, regulatory complexity, and a more uncertain business climate (Business Sweden, 2025). Similarly, Germany maintains extensive trade relations with the U.S., with more than 100,000 German SMEs exporting to the U.S. market (Abel-Koch, 2017). At the

same time, firms must increasingly navigate policy-driven market distortions, regulatory divergence, and industrial policies favoring domestic companies.

The central managerial challenge therefore lies in developing strategic responses that preserve both competitiveness and organizational adaptability while operating under persistent geoeconomic uncertainty. Consequently, beyond the academic research gap, there is also a pressing practical challenge: SMEs require more context-sensitive and strategically applicable approaches for managing geoeconomic uncertainty in international markets. Understanding how firms respond to these conditions is therefore important not only for advancing IB research but also for informing managerial decision making and policy discussions regarding the future of IB under increasing geopolitical fragmentation.

1.3 Purpose

The purpose of this thesis is to examine how Swedish and German SMEs operating in the U.S. respond to and strategically adapt under conditions of increasing U.S.-centered geoeconomic uncertainty. The research study seeks to move beyond the dominant focus on MNEs by shifting attention to SMEs. More specifically, the research study aims to explore how SMEs perceive and interpret U.S. policy-driven uncertainty and how these perceptions translate into concrete strategic responses. In addition, the research study adopts a comparative perspective by analyzing Swedish and German SMEs. This allows for an investigation of how national institutional contexts shape firms' ability to cope with geoeconomic uncertainty, and whether differences in industrial structure, policy support systems, and internationalization traditions lead to variation in strategic behavior.

By integrating insights from geoeconomic uncertainty, SME internationalization, resilience theory, and comparative institutional analysis, the research study aims to develop a more nuanced understanding of how smaller companies navigate politically driven uncertainty in global markets. Ultimately, the research study seeks to contribute both theoretically and practically.

1.4 Research Question

With our study we try to address the following Question:

How do Swedish and German SMEs respond strategically to geopolitical and geo-economic uncertainty in the U.S. market?

Subquestions:

- *What similarities and differences exist between Swedish and German SMEs in their strategic responses to U.S.-centered geoeconomic uncertainty?*
- *What types of geopolitical and geoeconomic risks in the U.S. market are perceived as most relevant by Swedish and German SMEs?*
- *Which strategic adaption and resilience mechanisms do Swedish and German SMEs employ in response to geopolitical uncertainty?*

1.5 Delimitations

Our research study focuses on SMEs based in Germany or Sweden that are exporting to and/or operating in the U.S. market. The aim is to examine how geoeconomic uncertainty affects these companies.

To address this objective, we conduct interviews with 7 SMEs from both countries. Industry affiliation or geographical location within Germany or Sweden were not considered selection criteria for the participating companies. As a result, the sample includes companies from different regions and sectors. Any concentration in specific industries is unintended and reflects the structural characteristics of SMEs engaged in IB activities in the U.S. market. In several industries, operating internationally requires financial, organizational, and human resources that often exceed the capacities of SMEs. Consequently, sectoral distribution is not considered in the evaluation of the research study.

1.6 Structure

The following Chapter 2 discusses the existing literature on this topic. We then present the methodology of our research study and explain our approach in Chapter 3. In Chapter 4, we present the results of the research study, followed by Chapter 5, in which we discuss these results. Finally, in Chapter 6, we summarize the key findings and provide an outlook on future research.

2 Literature review

The following chapter reviews the literature on geoeconomic uncertainty, geopolitical fragmentation, and their implications for Swedish and German SMEs in the U.S. Section 2.1 presents the theoretical foundations for SME adaptation under geoeconomic uncertainty, and Section 2.2 turns to the role of managerial cognition and sensemaking in interpreting uncertain conditions. Section 2.3 then examines how geoeconomic uncertainty is reshaping the global business environment, followed by Section 2.4, which develops a typology of strategic responses. Section 2.5 discusses theoretical perspectives on fragmentation, while Section 2.6 considers the vulnerabilities and constraints SMEs face in geopolitically charged environments. Section 2.7 explores strategic adaptation through the lenses of resilience, reconfiguration, and risk management, and Section 2.8 develops resilience as a strategic orientation. Section 2.9 narrows the focus to the European context, examining how institutional and industrial differences shape the responses of Swedish and German SMEs. Finally, Section 2.10 synthesizes the reviewed literature into a conceptual framework that guides the empirical analysis.

2.1 Theoretical Foundations for SME Adaptation under Geoeconomic Uncertainty

Understanding how Swedish and German SMEs adjust to geoeconomic uncertainty in the U.S. requires a theoretical framework connecting macro-level geopolitical shifts to firm-level strategic choices. In this study, geoeconomic uncertainty refers to firm-level uncertainty arising from the strategic use of economic policy instruments, such as tariffs, export controls, and industrial subsidies, for geopolitical purposes, representing not merely a changing external condition but a structural transformation that actively reshapes firm behavior (Witt, 2019; Witt et al., 2023).

Deglobalization, understood as a weakening of economic interdependence among countries, provides the contextual foundation at the macro level (Witt, 2019). Within this broader trend, decoupling refers more specifically to the selective

erosion of economic ties between particular states or blocs — most notably the U.S. and China — with significant spillover effects for allied economies in Europe (Witt et al., 2023). Witt (2019) argues that both liberal and realist dynamics in international relations point toward reduced economic integration, whether through fragmented global networks or the consolidation of geopolitical blocs, with political alignment increasingly shaping market access and regulatory treatment. Decoupling is selective and uneven, influenced by strategic industry importance and political priorities, meaning SMEs in politically sensitive sectors may face disproportionate pressure (Witt et al., 2023). Fernhaber and Schwens (2026) extend this picture by showing that global political shifts reshape entrepreneurial opportunity structures even for firms not directly engaged in international activities, transforming the broader strategic context in which firms assess risks, identify opportunities, and allocate resources.

At the strategic level, institutional theory explains how firms respond to these shifts. The institution-based view (Peng et al., 2008) argues that firm strategy is shaped not only by industry dynamics and internal resources but also by formal and informal institutional constraints. Geoeconomic uncertainty in the U.S., expressed through tariffs, export controls, and industrial policy, represents a shift in the institutional framework governing market participation, raising compliance costs and strategic uncertainty for SMEs that typically lack regulatory expertise or policymaker access. Formal institutions encompass codified rules such as tariff schedules and export licensing requirements (North, 1990), which have become increasingly complex and unpredictable in the U.S. context. Informal institutions — socially embedded norms and conventions — may manifest for European SMEs as expectations around local sourcing, workforce composition, or alignment with economic nationalism narratives. Scott's (2014) three institutional pillars add further nuance: while the regulative pillar corresponds most directly to formal policy instruments, normative pressures may push firms toward demonstrating good corporate citizenship through local investment or partnerships, and cognitive frameworks shape how managers interpret ambiguous political signals, suggesting that SME adaptation

involves not only compliance with changing rules but also alignment with evolving expectations about legitimate foreign business activity.

At the firm level, the revised Uppsala model (Johanson and Vahlne, 2009) emphasizes experiential learning, uncertainty reduction, and the liability of outsidership. Under stable conditions, SMEs gradually increase foreign market commitment as they accumulate knowledge; under high geoeconomic uncertainty, however, perceived risk may intensify rather than diminish, slowing, halting, or reversing this process. Uncertainty can also destabilize the relational foundations of internationalization by eroding trust and disrupting established relationships, with the liability of outsidership becoming particularly acute when geopolitical tensions reshape business networks and exclude European SMEs from key U.S. relationships through regulatory nationalism or shifting political alliances (Johanson and Vahlne, 2009; Witt, 2019).

De-internationalization theory (Benito and Welch, 1997) frames market exit or commitment reduction not as failure but as rational strategic adjustment, achieved through complete exit, reduction of operational scope, entry mode downgrading, or shifting to indirect market servicing through intermediaries. Real options theory complements this by highlighting how firms preserve flexibility under uncertainty through staged investments, postponed irreversible commitments, and modular structures (Tong and Reuer, 2007). For SMEs exporting to the U.S., this may mean relying on distributors rather than subsidiaries, using contract manufacturing rather than owned facilities, or maintaining alternative EU market opportunities, strategies that sacrifice some efficiency gains in exchange for valuable optionality.

Finally, the resource-based view (Barney, 1991) and dynamic capabilities theory (Teece, 2007) explain why SME responses vary. Firms with strong sensing capabilities, organizational agility, and resource reconfiguration capacity are better equipped to adjust product portfolios, restructure supply chains, or redirect activities toward politically aligned markets. Malik and Terzidis (2025) extend dynamic capabilities theory to geopolitically turbulent environments, arguing that resilience depends on combining institutional awareness with rapid operational adaptation,

meaning that differences in managerial cognition, strategic flexibility, and prior international experience may account for significant variation in how Swedish and German SMEs respond to geoeconomic uncertainty.

2.2 Managerial Cognition and Sensemaking under Uncertainty

While institutional and capability-based theories explain structural constraints and organizational resources, they tell us less about how managers actually interpret and respond to ambiguous geopolitical signals. Weick's (1995) sensemaking framework addresses this gap, conceptualizing sensemaking as an ongoing, retrospective process through which individuals interpret events, notice cues, and develop plausible explanations that guide action. In the context of geoeconomic uncertainty, the meanings managers construct, for example, framing tariffs as temporary disruptions or permanent market restructurings, directly shape the strategic responses they pursue. The attention-based view of the firm (Ocasio, 1997) extends this perspective to organizational strategy, arguing that firm behavior is determined by how decision-makers allocate their limited attention. SMEs whose managers attend closely to political developments are more likely to develop proactive responses, while those focused primarily on traditional competitive concerns may be slower to recognize politically driven environmental changes.

These cognitive characteristics — attention patterns, interpretive frames, and tolerance for ambiguity — are important predictors of adaptive capacity, and matter especially for SMEs where strategic decision-making is typically concentrated in owner-managers whose individual characteristics strongly shape organizational behavior (Weick, 1995; Ocasio, 1997). Two managers facing identical policy changes may construct entirely different meanings and pursue contrasting strategies, illustrating how the cognitive dimension complements institutional and capability-based explanations by illuminating the micro-level processes through which environmental changes translate into strategic action.

Nonmarket strategy theory introduces an explicit political dimension, as firms in geopolitically charged environments increasingly combine market and nonmarket strategies to manage cross-border sociopolitical risks (Shen et al., 2025). While MNEs may engage in corporate diplomacy or direct lobbying, SMEs are more likely to rely on indirect mechanisms such as industry associations, regulatory compliance signaling, or local partnerships, with adaptation extending beyond operational restructuring to deliberate efforts to strengthen legitimacy and reduce political exposure (Chen et al., 2024).

Together, these perspectives suggest that SME adaptation to geoeconomic uncertainty is inherently multi-dimensional, involving simultaneous adjustments across strategic, operational, relational, and cognitive domains. The theoretical perspectives are also interconnected rather than independent: managerial cognition shapes how firms perceive institutional changes; dynamic capabilities connect cognitive and capability-based explanations through sensing; real options logic explains preferences for flexible, low-commitment entry modes; and nonmarket strategy shows how firms may actively seek to shape their institutional environment rather than merely adapt to it. SME adaptation under geoeconomic uncertainty must therefore be understood as embedded in a business environment that is both increasingly politicized and deeply interconnected across national boundaries.

2.3 Geoeconomic Uncertainty and the changing global business Environment

The global business environment has entered a phase of intensified geopolitical fragmentation, marked by rising trade barriers, sanctions, strategic decoupling, and a renewed role of the state in shaping markets. IB research increasingly views this shift as structural rather than temporary, signaling a departure from long-standing assumptions of continuously deepening globalization (Witt, 2019). These dynamics are particularly pronounced in the U.S., where tariffs, export controls, and industrial policy have become central instruments influencing foreign firms' market access and competitive conditions (Piserà et al., 2025).

European firms are especially exposed to these developments given their traditionally high levels of internationalization and reliance on open trade frameworks (Baldermann et al., 2025). Recent empirical evidence shows that EU firms' valuations and expectations respond strongly to U.S. trade policy shocks, such as tariff announcements, highlighting Europe's vulnerability to U.S. geopolitical decisions (Piserà et al., 2025). While existing research has largely focused on MNEs, the implications of geopolitical fragmentation for SMEs remain comparatively underexplored.

2.3.1 Conceptualizing Geoeconomic Uncertainty

Geoeconomic uncertainty refers to the strategic use of economic instruments — tariffs, sanctions, export controls, investment screening mechanisms, and industrial subsidies — by governments to pursue foreign policy and geopolitical objectives. Unlike traditional political risk, which is linked to instability or weak institutions within a specific country, geoeconomic uncertainty arises from the deliberate use of economic interdependence as a tool of power in interstate competition (Wigell et al., 2021; Farrell & Newman, 2019; Witt, 2019), shifting the analytical focus from country-specific risk toward broader, systemic uncertainty rooted in global power rivalries and the fragmentation of the international economic order.

Roberts et al. (2019) argue that governments are progressively using economic relationships as instruments of strategic pressure, blurring the boundary between economic policy and national security. Farrell and Newman (2019) conceptualize this as weaponized interdependence, whereby states controlling central positions in global economic networks leverage these positions to monitor, restrict, or exclude competitors, visible in the U.S. use of extraterritorial sanctions and export controls, and in China's informal trade restrictions. Wigell (2016) further differentiates between geoeconomic strategies such as neo-mercantilism and neo-imperialism to clarify the strategic intentions underlying these measures. Building on deglobalization theory, Witt (2019) and Witt et al. (2023) argue that the increasing securitization of trade and investment signals a deeper structural shift, with firms now operating in a fragmented environment where political alignment, national security

considerations, and industrial policy goals shape market access and supply chain structures, a decoupling process that is selective rather than uniform, with firms in high-technology and politically sensitive sectors facing disproportionate exposure.

Fernhaber and Schwens (2026) extend this picture by arguing that geoeconomic uncertainty affects not only internationally active firms but increasingly those operating primarily in domestic contexts, as trade fragmentation, sanctions regimes, and technological change create cross-border effects that render entrepreneurship inherently international. Global disruptions can trigger cascading effects that reshape entrepreneurial opportunities and strategic behavior in both home and host markets, even without direct cross-border transactions. Wigell et al. (2021) conclude that effectively addressing geoeconomic risk requires firms to move beyond economic or country-specific risk management toward incorporating geopolitical awareness and a stronger understanding of institutional developments into their strategic decision-making

2.3.2 Mechanisms and Firm-Level Implications

Geoeconomic uncertainty has far-reaching implications for how firms organize and manage their international operations. Cui et al. (2023) argue that rising unpredictability in IB, particularly from U.S.-China decoupling and the growing technological divide, has introduced a 'new vulnerability' in globalization, prompting many firms to restructure value chains, relocate strategically sensitive activities, and establish parallel operations tailored to different geopolitical blocs. Wang et al. (2025) identify several key MNE responses: reconfiguring supply chains, adjusting market portfolios, restructuring compliance systems, and selectively reconfiguring value chain activities to manage exposure across politically conflicting regions, signaling a broader shift from efficiency-centered strategies toward approaches emphasizing resilience and political alignment. Bozonelos and Tsagdis (2023) frame these adjustments within the concept of 'geopolitical resilience', arguing that firms must move beyond traditional competitive strategy to actively incorporate geopolitical risk assessment, stakeholder management, and institutional navigation into their decision-making.

SMEs, however, typically lack the financial buffers, international diversification, and political connections that allow MNEs to manage geoeconomic uncertainty more effectively. Sinani and Zilja (2025) show that high-tech SMEs in particular tend to postpone or scale back foreign market entry when geopolitical tensions intensify, with a firm's perceived political legitimacy, often shaped by its country of origin, significantly affecting both market access and regulatory exposure. Patsiaouras et al. (2026) further argue that the fragmentation of global governance and the rise of competing geoeconomic blocs create disproportionate challenges for smaller firms, whose dependence on a limited number of customers, suppliers, or export markets makes them especially vulnerable to politically driven disruptions. Empirical evidence from Baldermann et al. (2025) and Piserà et al. (2025) confirms this, showing that tariff announcements, export controls, and industrial policies linked to domestic production requirements have measurable impacts on European firms' valuations and strategic planning, illustrating that even traditionally stable markets such as the U.S. have become sources of regulatory uncertainty. As a result, many SMEs are adopting more incremental and cautious internationalization strategies, though Fernhaber and Schwens (2026) note that while new ventures often lack the financial slack and institutional embeddedness to absorb geopolitical shocks, they may nonetheless display considerable flexibility and creativity in adapting to cross-border disruptions.

2.4 Strategic Responses to Geoeconomic Uncertainty: A typology

The preceding sections establish the nature and implications of geoeconomic uncertainty, but they do not systematically categorize the strategic responses available to firms. Developing such a typology is essential for analyzing how SMEs actually adapt to changing geopolitical conditions. This section synthesizes the literature on firm responses to political risk, environmental uncertainty, and institutional change to identify distinct categories of strategic adaptation that provide an analytical framework for empirical investigation.

2.4.1 Market-Level Responses: Entry, Exit, and Commitment Adjustment

The most fundamental strategic response to geoeconomic uncertainty involves reconfiguring market presence by adjusting which markets to serve, through what entry modes, and with what level of commitment. Benito and Welch (1997) provide a foundational framework for understanding de-internationalization, conceptualizing it not as failure but as a strategic adjustment to changed circumstances. Their work suggests that firms may reduce foreign market commitment through several mechanisms: complete exit from a market, reduction of operational scope, downgrading of entry mode (e.g. converting a subsidiary to a joint venture or distributor arrangement), or shifting from direct presence to indirect market servicing.

In the context of geoeconomic uncertainty, firms may pursue strategic exits from markets where political risks are perceived as unacceptable, even in the absence of immediate financial pressure (Benito and Welch, 1997). Alternatively, they may be forced into reactive exits when policy changes directly prohibit certain activities or render them economically unviable. Rather than following linear progression toward deeper commitment, firms may oscillate between expansion and contraction as environmental conditions change (Witt, 2019). This recurring pattern is particularly relevant for SMEs facing geoeconomic uncertainty, as their limited resources constrain their ability to maintain stable commitments across volatile conditions.

Market-level responses also include entry mode adjustment short of complete exit. Firms may respond to environmental volatility by shifting toward lower-commitment entry modes that provide flexibility and risk-sharing (Johansson and Vahlne, 2009; Tong and Reuer, 2007). Converting a wholly owned subsidiary to a joint venture with a local partner, for instance, reduces both financial exposure and political visibility while maintaining market presence (Cui et al., 2025). For SMEs, which often lack the resources to absorb sustained losses, such downgrading strategies may be particularly attractive responses to heightened uncertainty.

Portfolio rebalancing is another market-level response. European SMEs facing heightened uncertainty in the U.S. market may simultaneously reduce American exposure while strengthening their presence in other markets perceived as more stable, whether within the EU single market or in third countries aligned with European political and regulatory frameworks (Cui et al., 2025 Baldermann et al., 2025). This diversification logic allows firms to reduce dependence on any single politically volatile market while maintaining overall international engagement.

The most fundamental strategic response to geoeconomic uncertainty involves reconfiguring market presence by adjusting which markets to serve, through what entry modes, and with what level of commitment. Benito and Welch (1997) provide a foundational framework for understanding de-internationalization, conceptualizing it not as failure but as a strategic adjustment to changed circumstances, achieved through complete market exit, reduction of operational scope, downgrading of entry mode, or shifting from direct to indirect market servicing. Under geoeconomic uncertainty, firms may pursue strategic exits where political risks are perceived as unacceptable or be forced into reactive exits when policy changes directly prohibit certain activities or render them economically unviable. Rather than following a linear progression toward deeper commitment, firms may oscillate between expansion and contraction as conditions change (Witt, 2019) — a pattern particularly relevant for SMEs, whose limited resources constrain their ability to maintain stable commitments under volatile conditions.

Short of complete exit, firms may shift toward lower-commitment entry modes that provide flexibility and risk-sharing, such as converting a wholly owned subsidiary to a joint venture, which reduces financial exposure and political visibility while maintaining market presence (Johanson and Vahlne, 2009; Tong and Reuer, 2007; Cui et al., 2025). For resource-constrained SMEs, such downgrading strategies may be especially attractive. Portfolio rebalancing represents a further market-level response, whereby firms simultaneously reduce U.S. exposure while strengthening presence in more stable markets — whether within the EU or in third countries aligned with European political and regulatory frameworks — thereby reducing

dependence on any single politically volatile market while maintaining overall international engagement (Cui et al., 2025; Baldermann et al., 2025

2.4.2 Operational Responses: Supply Chain and Value Chain Restructuring

Beyond market-level decisions, firms respond to geoeconomic uncertainty through operational restructuring, reconfiguring supply chains, relocating production, and adjusting sourcing strategies (Bednarski et al., 2025; Witt et al., 2023). These operational responses allow firms to maintain market presence while reducing exposure to specific political risks associated with particular locations, suppliers, or value chain configurations.

Reshoring, nearshoring, and friendshoring have gained prominence in recent discussions of supply chain adaptation to geopolitical change (Witt, 2019). Reshoring refers to the relocation of production activities back to a firm's home country, reversing earlier offshoring decisions, while nearshoring involves relocating activities to geographically proximate countries, and friendshoring refers to sourcing from politically allied nations to reduce geopolitical risk (da Rocha et al., 2025). For European SMEs serving the U.S. market, these concepts translate into several potential strategies: establishing production within the U.S. to qualify as domestic suppliers, sourcing from Mexico or Canada under the United States-Mexico-Canada Agreement (USMCA) arrangements or developing parallel supply chains that can serve different markets under different regulatory regimes.

Bednarski et al. (2025) show that firms respond to geopolitical disruptions through strategies such as regionalization, backshoring, supplier diversification, and reduced reliance on just-in-time production models. For SMEs, implementing supply chain redundancy is constrained by limited purchasing volumes and relationship management capacity, but even partial diversification can provide meaningful risk reduction. These adjustments often translate into scaling back direct exposure to the U.S. market or shifting toward indirect entry modes that allow risk to be shared or partially externalized.

2.4.3 Relational Responses: Partnerships, Alliances, and Network Reconfiguration

Strategic relationships represent a third category of adaptive response. Firms can manage political risk by reconfiguring their partner networks, for example through forming new alliances, deepening existing relationships, or substituting politically exposed partnerships with safer alternatives (Shen et al., 2025; Johansson and Vahlne, 2009). These relational strategies leverage external resources and legitimacy to navigate institutional complexity.

Local partnerships provide not only operational capabilities but also political legitimacy and regulatory knowledge (Chen et al., 2024). European SMEs in the U.S. market may pursue deeper partnerships with American firms to enhance their local legitimacy and access to policymaker relationships. Under geoeconomic uncertainty, SMEs may invest in building stronger relational ties with key U.S. partners to enhance mutual commitment and reduce the risk of opportunistic behavior during periods of policy volatility (Shen et al., 2025).

Network reconfiguration extends beyond individual partnerships to a firm's broader position in business ecosystems (Johansson and Vahlne, 2009). Firms with stronger local network ties are better able to anticipate and respond to regulatory changes, access informal information about policy developments, and mobilize support when facing adverse decisions. For Swedish and German SMEs in the U.S. market, building such local network embeddedness may require significant time and relationship investment but offers important protective benefits under conditions of geoeconomic uncertainty (Sinani and Zilja, 2025).

2.4.4 Political Responses: Nonmarket Strategies and Legitimacy Management

A fourth category of strategic response involves direct engagement with the political environment through nonmarket strategies. Rather than merely adapting to political conditions, firms may seek to influence them or at minimum, to enhance their own legitimacy and visibility with relevant political actors.

For SMEs, direct political engagement is typically constrained by limited resources, limited dedicated government affairs capabilities and weak individual bargaining power with policymakers (Sinani and Zilja, 2025). However, collective action through industry associations and trade groups can amplify SME voices in policy debates (Shen et al., 2025). Swedish and German SMEs may participate in chambers of commerce, industry federations, and bilateral business councils that lobby on trade issues and provide platforms for engaging with policymakers. These collective mechanisms allow SMEs to influence policy indirectly while sharing the costs of political engagement.

Legitimacy management is a related but distinct political response. Foreign firms may lack legitimacy in host markets, particularly during periods of nationalistic sentiment, and must actively work to establish and maintain acceptance (Chen et al., 2024). For European SMEs in the U.S. market, legitimacy strategies might include emphasizing local employment, highlighting technology transfer or investment contributions, aligning with American values and priorities in public communications, or demonstrating good corporate citizenship through community engagement (Shen et al., 2025).

2.4.5 Cognitive and Strategic Process Responses

Finally, firms may respond to geoeconomic uncertainty by changing not only what they do but how they make strategic decisions. These cognitive and process-level adaptations affect how firms monitor their environment, assess risks, and formulate strategy under conditions of political volatility.

Firms must match their strategy processes to the level of uncertainty they face, using traditional planning tools under low uncertainty but shifting toward scenario-based approaches and strategic flexibility under high uncertainty. Geoeconomic uncertainty, characterized by structural unpredictability about policy developments, calls for decision processes that emphasize multiple scenarios, contingent planning, and maintaining flexibility (Malik and Terzidis, 2025). For SMEs facing geoeconomic uncertainty, scenario planning can help managers think through the

implications of different policy outcomes — such as escalating versus de-escalating trade tensions — and identify robust strategies that perform adequately across multiple scenarios rather than optimizing for a single expected future (Shen et al., 2025).

Effective uncertainty management requires ongoing investment in intelligence gathering, interpretation, and response capabilities. Firms must develop organizational processes for monitoring political developments, interpreting their strategic significance, and updating strategic commitments in light of new information (Shen et al., 2025; Teece, 2007). For SMEs, such processes are often informal and dependent on the attention and judgment of owner-managers, highlighting the importance of managerial cognition discussed in section 2.2 (Ocasio, 1997).

This typology of strategic responses including market-level, operational, relational, political, and cognitive responses, provides an organizing framework for analyzing SME adaptation to geoeconomic uncertainty. The categories are not mutually exclusive; firms typically combine multiple response types as part of integrated adaptation strategies. The responses also connect directly to the theoretical perspectives introduced in section 2.1. Market-level responses correspond to the Uppsala model's focus on commitment decisions and Benito and Welch's (1997) de-internationalization framework. Operational responses align with dynamic capabilities and real options logic. Relational responses reflect the network embeddedness emphasized in revised Uppsala theory. Political responses draw on nonmarket strategy theory. Cognitive responses connect to managerial sensemaking and attention-based perspectives. The typology provides both conceptual clarity and theoretical grounding for empirical analysis of SME strategic adaptation.

2.5 Theoretical Perspectives on Fragmentation: Deglobalization, Decoupling, and Politics

A growing stream of IB scholarship highlights the central role of political forces in shaping contemporary patterns of international economic activity. Drawing on international relations theory, Witt (2019) argues that both liberal and realist dynamics

point toward deglobalization, though with different configurations: either a fragmented web of economic relationships or the consolidation of regional and geopolitical blocs. Under both scenarios, firms operate in a strategic environment that differs fundamentally from the assumptions underpinning the era of liberal globalization.

Building on this framework, Witt et al. (2023) show that decoupling unfolds unevenly across industries and countries, reflecting variations in strategic relevance and the practical feasibility of reshoring or regionalization. This uneven exposure is particularly consequential for SMEs, whose more limited financial and organizational resources restrict their capacity to absorb shocks or rapidly reconfigure international operations.

From a political economy perspective, Rodrik (2017) links geopolitical fragmentation to populist reactions against globalization, especially within advanced economies. Trade-restrictive measures and regulatory nationalism in the U.S. are better understood as politically embedded constraints rather than temporary policy deviations. For European SMEs operating in, or exporting to, the U.S. market, this translates into a context of persistent uncertainty rather than short-lived volatility.

Trade policy shifts are not merely top-down government decisions but reflect genuine political pressures from domestic groups affected by previous globalization dynamics (Rodrik, 2017). This bottom-up political pressure creates path dependencies that make policy reversal difficult even if geopolitical circumstances change, implying that European firms should expect sustained rather than temporary restrictions on market access. For Swedish and German SMEs, this means that while U.S. policy shifts represent immediate challenges, the adaptation capabilities developed in response may prove valuable for navigating similar challenges that could emerge elsewhere.

2.6 Geopolitical Risk and SMEs: Vulnerability and Constraints

Compared to large MNEs, SMEs are disproportionately exposed to geopolitical risk due to their more limited resources, weaker political leverage, and lower levels of international diversification (Sinani & Zilja, 2025). Unlike traditional political risk, which is typically rooted in instability within a single host country, geopolitical risk stems from tensions between states. Even institutionally stable markets such as the U.S. can become high-risk environments for foreign SMEs (Patsiaouras et al., 2026).

Empirical research consistently indicates that rising geopolitical tensions reduce SMEs' willingness to enter new markets and dampen foreign investment activity (Onohwakpo, 2025). In response, SMEs tend to adopt more cautious and risk-averse strategies, such as limiting exposure to politically sensitive markets and reconfiguring international supply chains. High-technology SMEs appear particularly vulnerable, given their proximity to national security concerns and the growing influence of techno-nationalism, especially in the U.S. market (Sinani & Zilja, 2025).

2.6.1 Structural Disadvantage of Size in Geopolitically Charged Environments

SMEs face systematic disadvantages relative to larger competitors that become particularly consequential in environments characterized by political volatility and regulatory complexity (Sinani and Zilja, 2025; Choudhury et al., 2025). These disadvantages, including limited financial resources, weaker bargaining power, and less capacity to absorb disruption, shape the strategic options available to smaller firms under geoeconomic uncertainty.

Financial constraints are perhaps the most fundamental of these disadvantages. SMEs typically operate with limited cash reserves and face higher costs of capital than large firms, restricting their ability to absorb losses, fund strategic transitions, or maintain operations through extended periods of uncertainty (Choudhury et al.,

2025). When geoeconomic uncertainty raises costs — through tariffs, compliance requirements, or supply chain disruptions — SMEs have less capacity to absorb these impacts while maintaining competitiveness (Piserà et al., 2025). The strategic responses available to larger firms, such as relocating production, establishing a presence in multiple geopolitical blocs, or building redundant supply chains, may be financially infeasible for SMEs that lack the scale to justify such investments (Sinani and Zilja, 2025).

Organizational limitations compound these financial constraints. SMEs typically lack dedicated functions for regulatory compliance, government affairs, or geopolitical risk monitoring that larger firms maintain (Sinani and Zilja., 2025). When policy environments become complex and rapidly changing, these specialized capabilities become more valuable, but SMEs must manage with non-specialist staff or owner-managers who divide attention across multiple responsibilities. The cognitive load of monitoring geopolitical developments, understanding their implications, and formulating appropriate responses falls disproportionately on individuals who simultaneously manage other critical business functions.

Limited bargaining power is another important dimension. In relationships with suppliers, customers, and regulatory agencies, SMEs typically lack the leverage that larger firms have (Sinani and Zilja., 2025; Chen et al., 2025). They cannot credibly threaten to relocate significant investments, they represent smaller shares of their partners' business, and they carry less weight with policymakers. When negotiating contract terms that allocate risk from tariff changes or regulatory shifts, SMEs may find themselves accepting unfavorable terms that larger firms could resist. When seeking regulatory accommodation or policy input, their voices carry less weight than those of major employers or significant investors.

Network and information disadvantages further amplify these constraints. Large MNEs typically maintain extensive networks that provide early warning of policy changes, access to regulatory interpretation, and channels for advocacy and complaint. SMEs' more limited networks mean they may learn of relevant developments later, have less access to informal guidance on compliance expectations, and lack

effective channels for raising concerns about policy implementation (Johansson and Vahlne, 2009; Sinani and Zilja, 2025). Under conditions of geoeconomic uncertainty, these information asymmetries can translate into competitive disadvantages as larger firms adapt more quickly and effectively to changing conditions.

2.6.2 SME Strengths and Adaptive Potential

Resource-constrained firms often develop creative approaches to strategy that leverage available resources in unconventional ways. SMEs may develop unexpected adaptive strategies by creatively recombining their existing resources, relationships, and capabilities (Malik and Terzidis, 2025). A firm lacking resources to establish U.S. production might partner with an existing U.S. manufacturer, license technology to an American firm, or identify niche segments where imported products remain competitive despite tariff disadvantages. These workarounds may not represent optimal responses in an unconstrained sense but can provide effective adaptation within realistic resource limitations.

The benefits of creative adaptation should not be overstated, however. These approaches enable adaptive responses to constraints but do not eliminate the underlying disadvantages of limited resources. SMEs can be creative within their constraints but cannot wish those constraints away. Workaround strategies may prove difficult to scale or sustain over time, functioning as temporary solutions rather than permanent responses to structural challenges posed by geoeconomic fragmentation.

Firm legitimacy further moderates these dynamics. Chen et al. (2024) demonstrate that SMEs' location choices are shaped not only by objective levels of political risk but also by perceptions of legitimacy linked to firms' country of origin. Although their analysis focuses on Chinese SMEs, the underlying mechanisms are highly relevant for European SMEs, which increasingly face heightened scrutiny in the U.S. amid strategic rivalry and shifting industrial policy priorities.

2.7 Strategic Adaptation under Fragmentation: Resilience, Reconfiguration, and Risk Management

In response to geopolitical fragmentation, firms are increasingly shifting their strategic focus from efficiency toward resilience. Malik and Terzidis (2025) synthesize this emerging literature and identify dynamic capabilities, organizational agility, and institutional adaptation as key mechanisms through which firms manage geopolitical turbulence. Instead of exiting politically sensitive markets entirely, firms tend to adjust and reconfigure specific activities to manage risk while maintaining access to strategically valuable markets.

Supply chain restructuring has emerged as one of the most visible forms of adaptation. Bednarski et al. (2025) show that firms respond to geopolitical disruptions through strategies such as regionalization, backshoring, supplier diversification, and reduced reliance on just-in-time production models. For SMEs, these adjustments often translate into scaling back direct exposure to the U.S. market or shifting toward indirect entry modes that allow risk to be shared or partially externalized.

At the same time, non-market strategies are gaining importance. Shen et al. (2025) demonstrate that firms increasingly combine adaptive and embedded non-market approaches — including regulatory alignment and stakeholder engagement — to manage cross-border socio-political risks. SMEs' limited resources and political reach restrict their ability to engage in lobbying or corporate diplomacy, reinforcing the need for careful strategic selectivity in politically sensitive environments.

2.8 Resilience as Strategic Orientation

Organizational resilience has gained prominence in strategic management research as scholars seek to understand how firms navigate volatile and unpredictable environments. Organizational resilience can be understood as a firm's ability to absorb, adapt to, and recover from disruptions while maintaining core functions and identity (Malik and Terzidis, 2025). Applied to geoeconomic uncertainty, resilience

involves not merely surviving policy shocks but developing capabilities that enable ongoing adaptive capacity under persistent uncertainty.

Resilience differs from related concepts such as robustness and flexibility. Robustness refers to the ability to withstand disruptions without changing by designing systems that function despite external shocks. Flexibility refers to the ability to change rapidly in response to shifts in the environment (Malik and Terzidis, 2025). Resilience incorporates elements of both but adds an emphasis on learning and adaptation, focusing not merely returning to a previous state but potentially emerging stronger or better adapted from the experience of disruption. For SMEs facing geoeconomic uncertainty, all three capacities may be relevant: robustness to withstand initial shocks, flexibility to adjust operations and strategies, and resilience to learn from experience and strengthen adaptive capabilities over time.

Effective resilience can be understood as involving three stages: anticipation, coping, and adaptation (Duchek, 2020)**.** Anticipation involves detecting potential disruptions before they occur through observation of internal and external developments, identification of critical threats, and preparation for unexpected events. Coping refers to the concurrent actions taken once a disruption occurs, accepting the situation and developing and implementing solutions to maintain critical functions. Adaptation involves longer-term reflection, learning, and organizational change that improve the organization's ability to deal with similar challenges in the future. Although presented as three stages, Duchek (2020) emphasizes that they overlap and reinforce one another, with learning from adaptation feeding back into the organization's anticipatory capacity. This process model suggests that effective resilience requires developing capabilities across all three stages, not merely reactive coping but proactive anticipation and reflective adaptation — an ongoing investment that is particularly demanding for SMEs operating under sustained geoeconomic uncertainty.

For SMEs, developing resilience poses particular challenges given the resource constraints discussed previously (Choudhury et al., 2025). Yet certain characteristics of smaller firms may actually support resilience. Simpler organizational

structures can enable faster decision-making and response. Closer relationships between decision-makers and operational activities can facilitate quicker detection of problems and more agile adjustment. Strong organizational cultures and committed workforces, often characteristic of owner-managed SMEs, can support collective effort during periods of stress. These potential advantages suggest that while SMEs face constraints in building resilience, they also possess distinctive strengths that can be leveraged (Malik and Terzidis, 2025).

2.9 European Context: Implications for Swedish and German SMEs

One of the central arguments of this research study is that Swedish and German SMEs, while both facing similar geoeconomic pressures, may respond differently because of the distinct institutional environments in which they are embedded. This comparative dimension has received relatively little attention in the existing literature on geoeconomic uncertainty, which tends to treat European SMEs as a relatively homogeneous group rather than distinguishing between national contexts.

European firms' responses to geopolitical fragmentation are strongly shaped by their home-country institutional environments. Research on Swedish MNEs points to a strategic reorientation away from broad global engagement toward a stronger focus on Western and politically aligned markets, alongside a heightened emphasis on resilience and risk management (Enoksson & Freund, 2023). Although this evidence centers on large firms, it signals broader national patterns that are likely to influence SMEs through shared policy frameworks, business ecosystems, and institutional norms.

German firms operate within an economy that is deeply embedded in U.S. trade relations and global value chains. European management research suggests that firms increasingly rely on scenario-based planning, selective market engagement, and targeted resource reallocation to navigate geopolitical uncertainty (Baldermann et al., 2025). For SMEs, however, such responses are typically more constrained,

incremental, and reactive, reflecting their more limited financial buffers and organizational capacity.

2.9.1 Varieties of Capitalism and Institutional Context

Germany represents the paradigmatic CME, characterized by patient capital, strong vocational training systems, inter-firm networks centered on industry associations and regional clusters, and institutionalized labor-management cooperation, closely associated with the "Mittelstand" tradition of medium-sized, often family-owned manufacturing firms with deep technical expertise, long-standing customer relationships, and strong sectoral ties (Baldermann et al., 2025). German SMEs exporting to the U.S. are heavily concentrated in capital goods, automotive components, and pharmaceuticals, all particularly exposed to U.S. tariff policy. Baldermann et al. (2025) document that German firms have already begun shifting away from global diversification toward more selective and regionally concentrated market engagement. While the German system provides access to dense industry association networks and state-backed innovation programs, Witt et al. (2023) note these structures were designed for a more stable trading environment and may be ill-suited to the current climate of politically driven trade disruption.

Sweden exhibits somewhat different CME characteristics, with stronger emphasis on centralized wage bargaining, active labor market policies, and state coordination of industrial development. Swedish SMEs are concentrated in high-technology and advanced service sectors rather than traditional manufacturing, meaning their most relevant geoeconomic risks are often not tariffs but export controls, investment screening mechanisms, and concerns around data governance and digital infrastructure, what Sinani and Zilja (2025) describe as techno-nationalism (Enoksson & Freund, 2023). Swedish firms have begun shifting their strategic focus toward Western and politically aligned markets, a pattern that may extend to the SME level (Enoksson & Freund, 2023). Like Germany, Sweden's institutional support framework is broadly oriented toward internationalization but was not designed with politically driven trade conflict in mind.

These institutional differences may generate systematic variation in SME responses. German SMEs, embedded in strong regional clusters and industry associations, may have greater access to collective intelligence and advocacy mechanisms, while the "Mittelstand" tradition of patient, long-term business development may support continued commitment to established market relationships despite short-term volatility. Swedish SMEs, operating in a smaller and more open economy, may instead be more reliant on government support mechanisms or more inclined toward rapid adaptation rather than patient commitment.

2.9.2 Industrial Structure and Export Dependence

Beyond varieties of capitalism (Hall and Siskice, 2001), differences in industrial structure and export patterns may influence Swedish and German SME responses. Germany's manufacturing-intensive economy, with particular strength in automotive, machinery, and chemicals sectors, creates distinctive exposure patterns to U.S. trade policy (Abel-Koch, 2017). German SMEs participating in automotive supply chains, for instance, face specific risks related to tariff threats on vehicles and components as well as broader structural changes in the automotive industry related to electrification and digitalization.

Sweden's export profile differs, with greater relative emphasis on services, technology, and specialized manufacturing (Enoksson and Freund, 2023). Swedish SMEs may face different sectoral exposures, potentially more affected by technology-related restrictions and intellectual property concerns, but less directly exposed to tariffs on physical goods. These industrial differences suggest that the specific forms of geoeconomic uncertainty most salient for SMEs may vary between countries, leading to different adaptation priorities and strategies.

Export dependence also varies. Germany is consistently one of the world's largest exporters, and the U.S. represents a major destination market (Abel-Koch, 2017). Swedish exports are substantial relative to Gross Domestic Product (GDP) but smaller in absolute terms than Germany's. The U.S. market, though important, is also less central to Swedish firms than to German ones (Enoksson and Freund,

2023). These differences in scale and dependence may influence both the urgency of adaptation and the range of strategic options available. German SMEs deeply embedded in U.S.-oriented value chains may face greater pressure to adapt but also greater difficulty withdrawing, while Swedish SMEs may have more flexibility to redirect toward alternative markets.

2.9.3 Government Support and Policy Context

Both Sweden and Germany maintain extensive support systems for internationalization and export promotion, but the specific mechanisms and emphases differ. Business Sweden and Germany Trade and Invest (GTAI) provide trade promotion services (Business Sweden, 2025; Federal Ministry for Economic Affairs and Energy, n.d.), but their approaches, resources, and strategic priorities may differ in ways that influence the support available to SMEs navigating U.S. market uncertainty. Understanding these policy contexts is relevant because government support represents an important external resource that SMEs may leverage in their adaptation strategies.

The European Union represents a shared institutional context that influences both Swedish and German SMEs. EU trade policy, competition regulations, and industrial strategy initiatives create common frameworks within which firms operate. However, national implementation and emphasis vary, and firms may experience EU-level policies differently depending on their home-country context. The EU's response to U.S. geoeconomic measures — including retaliatory tariffs, diplomatic engagement, and efforts to strengthen European strategic autonomy — represents an additional layer of institutional context that influences SME strategic options (Baldermann et al., 2025; Piserà et al., 2025).

Despite these developments, the existing literature offers limited comparative insight into how SMEs from different European countries adjust to the same geopolitical shock, particularly in relation to the U.S. market **(**Onohwakpo, 2025; Enoksson and Freund, 2023; Sinani and Zilja, 2025**).** Swedish and German SMEs may exhibit systematic differences in their strategic responses due to variation in

industrial structures, export dependence, and the scope and design of national institutional support mechanisms (Patsiaouras et al., 2026).

Taken together, these differences suggest that Swedish and German SMEs, even when facing the same geoeconomic pressures in the U.S. market, may interpret those pressures differently and have access to different institutional resources for responding to them. This makes a comparative approach particularly valuable for the present research study.

2.10 Conceptual framework

Based on the literature reviewed in this chapter, a conceptual framework is developed to explain how geopolitical fragmentation shapes the strategic responses of Swedish and German SMEs operating in the U.S. The framework integrates insights from IB, institutional theory, and political economy to show how macro-level geopolitical developments translate into firm-level pressures and strategic responses, moderated by firm-level and country-level factors.

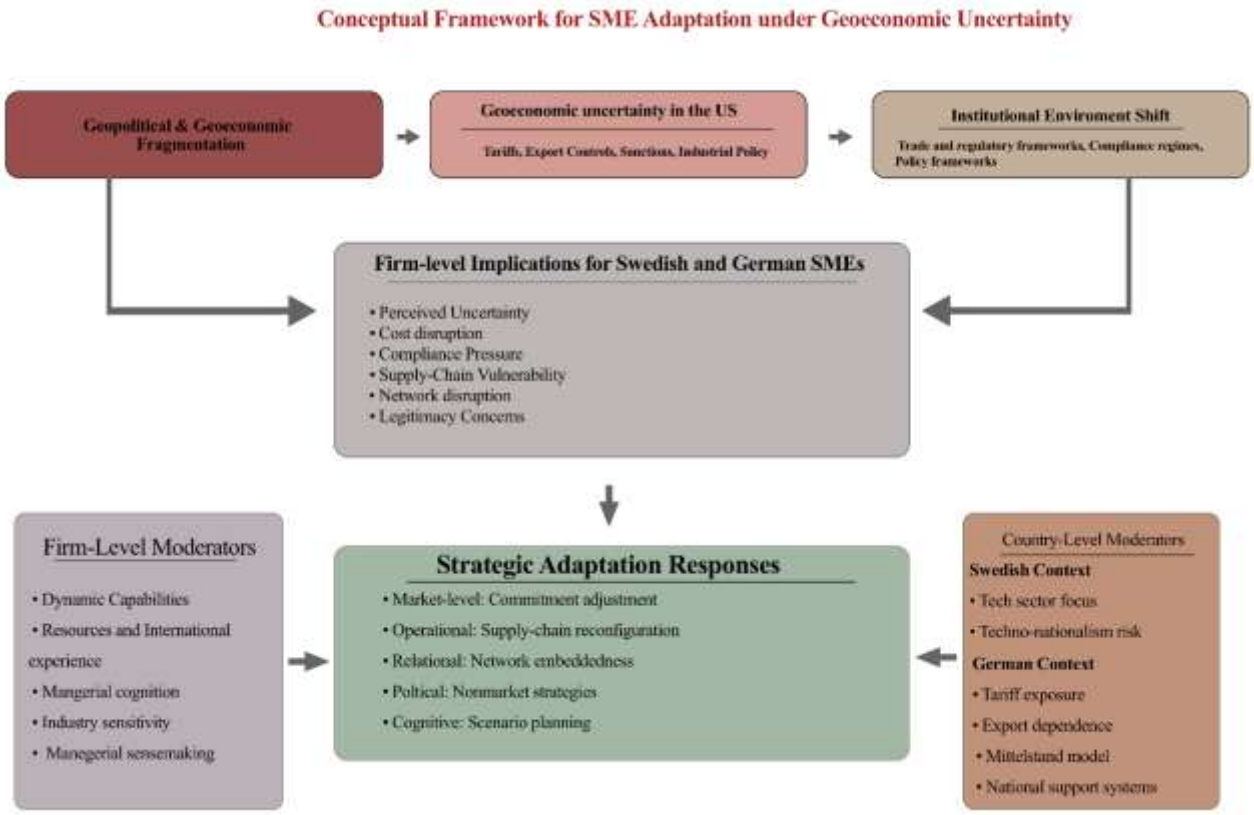


Figure 1. Conceptual Framework (Selzer & Ljung, 2026)

At the macro level, the framework begins with geopolitical and geoeconomic fragmentation, understood as the increasing use of economic instruments such as tariffs, export controls, sanctions, and industrial subsidies, for geopolitical purposes. As Witt (2019) and Witt et al. (2023) argue, this represents a structural transformation of the IB environment rather than a temporary disruption, with decoupling unfolding unevenly across industries depending on their strategic relevance. This fragmentation generates geoeconomic uncertainty in the U.S. market, which serves as the primary external driver in the framework. Unlike traditional political risk rooted in host-country instability, geoeconomic uncertainty arises from the deliberate use of economic interdependence as a tool of interstate competition (Farrell & Newman, 2019; Wigell et al., 2021), creating unpredictability around market access, regulation, and trade relations that has measurable effects on European firms' valuations and strategic planning (Baldermann et al., 2025; Piserà et al., 2025).

Geoeconomic uncertainty does not reach firms directly. It is first transmitted through a shifting institutional environment encompassing changes to trade and regulatory frameworks, new compliance regimes, and evolving industrial policy. Drawing on the institution-based view (Peng et al., 2008) and Scott's (2014) three institutional pillars, this layer of the framework captures how formal rule changes interact with normative and cognitive pressures to reshape the conditions under which firms operate. These shifts alter the economics of cross-border trade, restrict market access, and favor domestic producers in ways that require firms to actively realign their strategies.

The shifting institutional environment generates a set of firm-level implications that are particularly consequential for SMEs. Compared to MNEs, SMEs are disproportionately exposed to geopolitical risks due to their limited financial resources, weaker political influence, and lower levels of international diversification (Sinani & Zilja, 2025; Patsiaouras et al., 2026). Specifically, firms face perceived uncertainty about future policy directions, cost disruption from tariffs and supply chain reconfiguration, compliance pressure from increasingly complex regulatory requirements, and supply-chain vulnerability from disrupted cross-border sourcing

arrangements (Bednarski et al., 2025). Beyond these operational pressures, geopolitical tensions also produce network disruption by undermining the relational foundations of internationalization and heightening the liability of outsidership (Johanson & Vahlne, 2009), as well as legitimacy concerns arising from greater political scrutiny of foreign firms in the U.S. market (Shen et al., 2025; Chen et al., 2024).

In response to these pressures, SMEs draw on a range of strategic adaptation responses organized around five categories developed in Section 2.4. At the market level, firms adjust their commitment to the U.S. market through entry mode downgrading or portfolio rebalancing, consistent with de-internationalization theory and real options logic (Benito & Welch, 1997; Tong & Reuer, 2007). Operationally, firms reconfigure supply chains through reshoring, nearshoring, and supplier diversification to reduce political exposure (Bednarski et al., 2025). Relationally, firms build local partnerships and deepen network embeddedness to enhance legitimacy and access to informal policy intelligence (Johanson & Vahlne, 2009). Politically, SMEs engage in nonmarket strategies such as industry association participation and regulatory compliance signaling to manage political exposure despite limited individual bargaining power (Shen et al., 2025). Finally, at the cognitive and process level, firms adapt how they monitor their environment and formulate strategy, including through scenario planning suited to conditions of structural unpredictability.

The framework recognizes that strategic responses vary across firms and national contexts. At the firm level, dynamic capabilities, resources and international experience, industry sensitivity, managerial cognition, and managerial sensemaking all shape which responses firms consider and how effectively they execute them (Teece, 2007; Barney, 1991; Ocasio, 1997; Weick, 1995). Managerial sensemaking is particularly important here, as the meanings managers construct from ambiguous political signals — whether interpreting current tensions as temporary or structural — directly shape the strategic choices they pursue. At the country level, grounded in the Varieties of Capitalism framework (Hall & Soskice, 2001), Swedish SMEs face distinct pressures related to their concentration in technology-intensive sectors

and exposure to techno-nationalist measures such as export controls and investment screening (Sinani & Zilja, 2025; Enoksson & Freund, 2023). German SMEs, embedded in the "Mittelstand" tradition, face high tariff exposure in automotive and machinery sectors alongside access to dense sectoral networks and state-backed support programs (Baldermann et al., 2025).

The conceptual framework, illustrated in Figure 1, provides a structured basis for analyzing how Swedish and German SMEs adjust their strategies in response to geoeconomic uncertainty in the U.S. market, while accounting for the firm-level and country-level factors that shape the nature and extent of those adjustments.

3 Methodology

The following chapter describes the philosophical, methodological, and practical basis of the research study. Section 3.1 presents the research perspective, followed by Section 3.2, which outlines our research approach. Sections 3.3 and 3.4 describe our study method and study design. Section 3.5 describes our research process and Section 3.6 our operationalization. Subsequently, chapter 3.7 describes our analysis method, Section 3.8 substantiates the quality of our research, and Section 3.9 presents the research ethics. Finally, Section 3.10 explains the author's contribution.

3.1 Research perspective

This chapter explains the methodology of the research, including the underlying strategy, action plan, and research design behind the selection and application of specific methods. To present this coherently, it is first necessary to clarify the theoretical perspective guiding the study, as Crotty (1998) explains that the theoretical perspective forms the philosophical foundation of the methodology by providing context for the research process and the basis for its logic and evaluation criteria.

Research philosophy refers to the fundamental beliefs and assumptions about how knowledge is generated and how reality is understood, influencing methodological decisions regarding research design, data collection, and analysis (Bell et al., 2022; Saunders et al., 2023). Saunders et al. (2023) identify five major research philosophies in business and management — positivism, critical realism, interpretivism, postmodernism, and pragmatism — while Bell et al. (2022) further discuss empiricism, objectivism, and constructionism. The present research is most closely aligned with interpretivism.

Interpretivism assumes that valuable insights may be lost when the complexity of social phenomena is reduced to rule-based generalizations. Instead, it emphasizes understanding human experiences, meanings, and interpretations within their social and cultural contexts, viewing reality as socially constructed through language,

culture, and interaction rather than as existing independently of human interpretation (Bell et al., 2022). Consequently, interpretivist research focuses on narratives, perceptions, and subjective experiences, while recognizing that the researcher's own values inevitably influence the interpretation of data (Saunders et al., 2023). As Crotty (1998) further notes, interpretivism seeks culturally and historically situated interpretations of the social life-world. In line with this, interpretivist studies commonly employ inductive approaches, small sample sizes, and in-depth investigations, with qualitative methods predominating to allow different forms of data to be incorporated and interpreted (Bell et al., 2022).

This philosophical stance is considered most appropriate for the present study, as its aim is not to test predefined hypotheses or produce broadly generalizable laws, but to develop a deeper understanding of the meanings, experiences, and interpretations underlying the phenomenon under investigation — achieved through interviews that capture the perspectives of individuals directly involved in and interpreting their firms' situations. Since the research problem is embedded in a social context shaped by individual perceptions and situational factors, interpretivism is particularly suitable, as it enables in-depth exploration while acknowledging the complexity of human perspectives.

3.2 Research approach

Research approaches describe the relationship between theory and empirical research, with three main types: deductive, inductive, and abductive. A research approach determines whether a study primarily aims to test existing theories or develop new theoretical insights from empirical findings (Saunders et al., 2023; Bell et al., 2022).

The inductive approach moves from specific empirical observations toward broader generalizations and theoretical insights. Rather than starting with predefined theories or hypotheses, it begins with data collection to explore a phenomenon and identify patterns, themes, and relationships. Due to its exploratory and flexible nature,

the inductive approach is commonly associated with qualitative research and interpretivist philosophy (Saunders et al., 2023; Bell et al., 2022).

As outlined in Section 3.1, this study is grounded in an interpretivist philosophy, making the inductive approach the most suitable choice. Rather than testing predefined hypotheses, the study aims to develop an in-depth understanding of participants' perspectives and interpretations, engaging with the data openly and flexibly so that insights emerge directly from participants' experiences and viewpoints. This supports the study's overall objective of generating new, data-driven understanding of the research problem.

3.3 Research method

According to Bell et al. (2022), there are three methodological approaches in business research: quantitative methods, qualitative methods, and mixed methods. Research methods can generally be understood as the techniques or instruments used for collecting and analyzing data and are associated with different types of research designs (Bell et al., 2022; Braun & Clarke, 2013).

Qualitative research is closely linked to the interpretivist paradigm and is generally associated with an inductive approach to theory development. Rather than focusing on numerical measurement, qualitative research seeks to understand the meanings, interpretations, and experiences of participants as well as the relationships between them. Data collection methods are typically unstructured or semi-structured, allowing the research process and questions to evolve throughout the research study. In this context, the researcher is not considered independent from the research process, as interpretation plays a central role (Saunders et al., 2023).

Given the nature of the research question, a qualitative research approach was deliberately chosen for this research study. This approach is particularly suitable for gaining an in-depth understanding of the perceptions, interpretations, and behaviors of companies in the context of geoeconomic uncertainty. Furthermore, the use of

qualitative methods is consistent with the inductive research approach and the interpretivist philosophical perspective underlying this research study.

3.4 Research design

The research design describes the overall structure of a study and specifies how the research question will be addressed methodologically. It therefore serves as a connecting element between the theoretical framework, data collection, and analysis by defining a clear procedure for the entire research process (Saunders et al., 2023; Bell et al., 2022). In this context, the research strategy represents the methodological link between the underlying research philosophy and the subsequent methods used for collecting and analyzing data (Saunders et al., 2023).

Within qualitative research, several research strategies are available including ethnography, grounded theory, narrative inquiry, archival research and case studies (Saunders et al., 2023).

While these approaches each offer specific strengths, they are not equally suited for enabling cross-organizational comparisons in an internationally oriented research context. Against this background, a case study design was selected for the present research study. According to Yin (2018), case studies are particularly appropriate when complex phenomena are examined within their real-life context. Similarly, Saunders et al. (2023) emphasize that case studies allow for an in-depth understanding of a phenomenon within its specific setting and can generate rich empirical insights as well as contribute to theory development.

More specifically, this research study adopts a multiple-case study design. Both Yin (2018) and Saunders et al. (2023) distinguish between single — and multiple case study designs. While single-case studies are particularly appropriate when investigating a critical unique, or extreme case, multiple-case studies enable research to examine whether findings can be replicated across several cases (Saunders et al., 2023, Bell et al., 2022).

The multiple-case study design is particularly suitable for the comparison of Swedish and German SMEs, as it enables the identification of country-specific differences as well as context-related influencing factors. Furthermore, comparative logic is embedded in order to better understand the phenomenon in relation to different organizational and national contexts (Bell et al., 2022). Another advantage of the chosen design lies in its ability to integrate different perspectives and identify recurring patterns and relationships that extend beyond individual cases, thereby contributing to theoretical development (Saunders et al., 2023).

Overall, the selected multiple-case study design ensures that both the complexity of the research topic and the contextual specificity of the companies under investigation are adequately considered. At the same time, it enables a structured and comparative analysis that is closely linked to the research study's conceptual framework.

3.5 Research Process

The following subsections describe the key steps in the research process that are relevant for the collection and processing of empirical data.

3.5.1 Sampling

Saunders et al. (2023) distinguish between three types of sampling: probability sampling, non-probability sampling, and mixed sampling. In qualitative research, non-probability sampling methods are commonly used, as the aim is not statistical representativeness but the collection of rich and relevant data from participants that are suitable for the research objectives. More specifically, purposive sampling is frequently applied in qualitative studies, as participants are selected based on their relevance to the research question (Saunders et al., 2023). In purposive sampling, participants are deliberately selected because they possess specific characteristics, knowledge, or experiences that are considered particularly valuable for addressing the research objectives. A purposive sampling strategy was applied. Companies were selected based on their relevance to the research objectives and their ability to

provide insights into SMEs' experiences with the U.S. market and geoeconomic uncertainty. This sampling strategy was considered particularly suitable for the present research study, as it enabled the selection of participants with relevant expertise and direct experience regarding the phenomenon under investigation.

Within the purposive sampling strategy, elements of self-selection sampling were used. According to Saunders et al. (2023), self-selection sampling allows potential participants to decide themselves whether they want to participate in the research study. In this research, potential participants were contacted directly via email and invited to take part in interviews. Data was then collected from those companies that agreed to participate. Using this recruitment approach was necessary, as it was not feasible to collect data from the entire population of relevant SMEs.

The selection procedure was identical for both Swedish and German companies, although the companies were researched by different authors. For both countries, companies were identified and contacted based on their relevance to the research study and their connection to the U.S. market.

	Contacted	Received a reply	Rejected	Accepted	Interviewed
Germany	72	17	12	5	4
Sweden	56	8	5	3	3

Table 1. Contacted companies

In total, 128 companies were contacted during the sampling process. Of these, 25 companies responded to the invitation. Ultimately, seven companies agreed to participate and were interviewed. Four interviews were conducted with German companies and three with Swedish companies. An overview of the contacted and interviewed companies is presented in Table 1. In the case of the German companies, five companies initially agreed to participate; however, only four ultimately scheduled and completed an interview.

3.5.2 Data collection

For data collection, we decided to conduct interviews. According to Saunders et al. (2023), interviews can generally be divided into three different types: structured, semi-structured, and in-depth (unstructured) interviews. Research interviews are described by them as purposeful conversations between two or more people in which the interviewer asks concise and unambiguous questions and listens attentively to the interviewee's responses (Saunders et al., 2023).

For this research study, semi-structured interviews were considered the most suitable method. Semi-structured interviews vary in their degree of structure and are often based on one or more themes. They allow the interviewer to prepare a set of predetermined questions while also providing flexibility to vary the order of the questions, omit certain questions, or ask additional questions depending on the interview situation (Saunders et al., 2023). Bell et al. (2022) further explain that semi-structured interviews use an interview guide while still giving interviewees considerable freedom in how they respond. Additionally, interviewers may ask follow-up questions that were not initially included when interesting points emerge during the conversation. The interview guides used in this research study can be found in Appendix 1 and Appendix 2, with one interview guide provided in English and the other one in German.

The use of semi-structured interviews enabled us to collect qualitative data while adapting the interviews to the expertise and background of each participating company. If a company possesses extensive knowledge in a specific area, additional questions could be asked to gather more detailed insights. Conversely, questions related to areas outside the interviewee's expertise could be omitted. This flexibility was particularly valuable given the different types of organizations included in the research study.

The interviews were conducted with the companies listed in Table 2. While most interviewed organizations were SMEs, Company A and Company F differ from the other participants, as they are financial institutions rather than SMEs. These

companies were included because of their close collaboration with SMEs and their broader perspective on IB activities and market developments. The interviews lasted between 25 and 60 Minutes, depending on the participant's experience and the depth of the discussion.

Due to the geographical distribution of the participating companies across Sweden and Germany, all interviews were conducted online via audio conferencing. Furthermore, the interviews with Company D, E, F, and G were conducted in German, as requested by the participants. Since one of the authors is a native German speaker, these interviews were subsequently translated into English by that author. This ensured that the interview material could be analyzed and utilized equally by both authors throughout the research process. Conducting the interviews in the participants' preferred language was intended to create a more comfortable interview environment and to facilitate more detailed responses. If participants agreed, the interviews were recorded and later transcribed to enable a systematic analysis of the collected qualitative data.

Company	**Industry**	**Country of origin**	**Interview Date**
Company A	Finance	Sweden	26.02.26
Company B	Manufacturing	Sweden	20.03.26
Company C	Manufacturing	Sweden	18.03.26
Company D	Technology	Germany	08.05.26
Company E	Technology	Germany	18.05.26
Company F	Finance	Germany	19.05.26
Company G	Consulting	Germany	19.05.26

Table 2. Interviewed Companies

3.6 Operationalization

Operationalization refers to the process of translating abstract theoretical concepts into observable and researchable elements that guide data collection and analysis (Saunders et al., 2023; Bell et al., 2022). Although this study follows an interpretivist and predominantly inductive approach, the operationalization was informed by the literature review and the conceptual framework developed in Section 2.10, which provided an initial structure for the interview guide (see Appendix 1 and Appendix 2) and ensured alignment between the theoretical foundations, data collection, and subsequent thematic analysis. At the same time, the semi-structured interview design allowed flexibility for participants to introduce perspectives not fully anticipated in advance.

To ensure analytical transparency and traceability, the interview guide was systematically derived from the literature review and conceptual framework. Table 3 illustrates the relationship between conceptual constructs, interview themes, and associated questions.

The interview guide was structured into six themes. Theme 1 collected general contextual information about the companies, including their international activities and relationship to the U.S. market. Theme 2 operationalized the perception of geoeconomic uncertainty, exploring how companies perceived geopolitical and economic developments in the U.S. and broader global environment, and how these influenced their business. Theme 3 — the core of the operationalization — addressed strategic adaptation responses, including operational, financial, market-related, and organizational adjustments undertaken in response to perceived geoeconomic uncertainty. Themes 4 to 6 addressed moderating firm-level factors potentially influencing the effectiveness of strategic responses, including organizational capabilities, digital competencies, networks, resources, and country-specific contextual conditions. Particular attention was paid to identifying similarities and differences between Swedish and German SMEs to better understand how national and organizational contexts shape responses to uncertainty.

Overall, the interview guide closely followed the structure and logic of the conceptual framework, with macroeconomic and geopolitical developments forming the contextual background while the operationalization focused specifically on how firms perceive geoeconomic uncertainty and how these perceptions influence strategic adaptation. The themes in Table 3 also served as an initial structure during coding; however, consistent with the inductive orientation of the study, the coding and thematic analysis remained open to additional patterns emerging directly from the data, supporting a structured yet flexible interpretation of the interview material.

Theme	**Description of Theme**	**Question numbers**
Theme 1: Firm Background & U.S. Market Engagement	These questions are designed to provide a basic understanding of the surveyed companies and their activities in the U.S. market. They capture key contextual information such as business operations, industry, and the degree of internationalization. In addition, we examine the importance of the U.S. market to the company, for example in terms of revenue share or strategic relevance. This information helps to better contextualize the subsequent responses.	Question 1 -4
Theme 2: Perception of Geoeconomic Uncertainty	These questions examine how companies perceive and interpret the current geoeconomic uncertainty in the U.S. market. The focus is on assessing changes in the business environment, particularly in comparison to previous years and other export markets. The questions aim to identify specific sources of uncertainty, such as tariffs, trade policy measures, or regulatory developments. In addition, the direct impacts on the company are analyzed, for example in terms of costs, margins, or sales. Furthermore, the survey assesses whether the uncertainty is perceived as temporary or structural and which geopolitical developments are considered particularly relevant.	Question 5 -13
Theme 3: Strategic Adaptation (Core Section)	This theme forms the core of the interview and examines how SMEs are adapting their strategies in response to geoeconomic uncertainty. Strategic adaptation is understood here as a multidimensional phenomenon. **Operational Adaptation:** This section focuses on changes in internal processes, particularly regarding supply chains, procurement strategies, and production structures. It examines whether companies are	Question 14 - 28

	adapting their operational processes to cope with tariffs, regulatory requirements, or rising costs. **Market-Related Adaptation:** This section analyzes the extent to which companies are changing their market strategies. This includes adjustments to target markets, customer segments, and investment decisions. It also examines whether companies are reducing their dependence on the U.S. market or realigning their market approach. **Institutional and regulatory adaptation:** This section addresses companies' responses to changes in the regulatory framework. The focus is on compliance requirements, monitoring processes, and the use of external support to manage regulatory complexity. **Financial and risk-related adaptation:** This section examines strategies for managing uncertainty from a financial perspective. These include measures such as risk diversification, hedging strategies, adjustments to financing, and the utilization of cash benefits.	
Theme 4: Networks & Embeddedness (Uppsala Perspective)	These questions examine the importance of networks, partnerships, and local embeddedness in managing uncertainty in the U.S.-market. The focus is on the role of distributors, local partners, and other network actors in reducing uncertainty and facilitating market access. The research study also analyzes whether companies have adapted or strengthened their existing networks in response to geopolitical or regulatory changes.	Question 29 - 30
Theme 5: Internal Capabilities & Resilience (RBV / Dynamic Capabilities)	These questions focus on the use of digital technologies to manage uncertainty. The research study examines the extent to which companies use digital tools to monitor regulatory developments, design flexible supply chains, analyze market information, or assess risks. The aim is to identify the role of technological capabilities in the perception and management of uncertainty and to understand their contribution to organizational resilience.	Question 31
Theme 6: Internal Capabilities & Resilience	This topic expands on the examination of internal corporate resources and capabilities that are relevant for managing uncertainty. These include, among other things, financial flexibility, innovation capacity, organizational agility, and strategic planning capabilities. In addition, the research study examines whether companies tend to respond to geopolitical changes proactively or reactively.	Question 32 - 33

Table 3. Description of Interview guideline

3.7 Method of analysis

To analyze the collected data, this research study applied an inductive thematic analysis. Thematic analysis is considered one of the most common approaches for analyzing qualitative data (Bell et al., 2022). According to Braun and Clarke (2013), thematic analysis is a method used to identify themes and patterns of meaning across a dataset in relation to a research question. An inductive thematic analysis aims to generate findings from the data itself rather than being shaped by pre-existing theories or assumptions. Consequently, the identified themes are strongly linked to the participants' statements and experiences (Braun & Clarke, 2013).

The use of an inductive approach is consistent with the overall research design presented in Section 3.2. Since the purpose of this research study is to understand the experiences and perspectives of companies rather than test a predetermined hypothesis, thematic analysis was considered particular suitable. The method enables the identification of recurring patterns and themes across interviews, despite variations in the participants' individual responses.

The analysis followed the six phases of thematic analysis proposed by Braun and Clarke (2006).

Phase 1: Familiarizing yourself with your data

This phase began directly after the interviews had been conducted. All interviews were transcribed and carefully reviewed several times to ensure accuracy and gain a deeper understanding of the material. During this process, initial observations and potentially relevant patterns were noted. Re-reading the transcripts also helped identify similarities and differences between participants' experiences and perspectives.

Phase 2: Generating initial codes

In this step, the interview transcripts were systematically reviewed and divided into smaller meaningful segments. Statements and passages that were relevant to the

research question were assigned descriptive codes. These codes represented important concepts, experiences, or recurring issues mentioned by the participants. The coding process was conducted across the entire dataset to ensure consistency and to capture all relevant aspects of the interviews.

Phase 3: Searching for themes

After the coding process was completed, related codes were grouped together into broader categories and potential themes. During this stage, connections between codes were identified and compared across interviews. For example, codes related to uncertainty, supply chain disruption, market adaptation, or strategic responses were clustered together to form broader thematic patterns. This step enabled the organization of large amounts of qualitative data into more meaningful analytical categories.

Phase 4: Reviewing themes

The initially identified themes were continuously evaluated and refined in relation to both the coded extracts and the complete dataset. This process involved checking whether the themes accurately represented the participants' statements and whether there was sufficient supporting evidence for each theme. This stage also ensured that the themes remained relevant to the research questions and the purpose of the research study.

Phase 5: Defining and naming themes

Once the final themes had been established, each theme was analyzed in greater detail in order to determine its specific focus and meaning. Clear definitions were developed to explain what each theme represented and how it contributed to understanding the research topic. Appropriate names were then assigned to each theme to ensure that they reflected the central idea of the underlying data.

Phase 6: Producing the report

In this stage, the finalized themes and supporting interview extracts were integrated into the findings and analysis chapters of the thesis. Relevant quotations and examples from the interviews were selected to illustrate the identified themes and strengthen the analytical discussion. The findings were then connected back to the research questions and existing literature in order to provide a coherent and academically grounded interpretation of the data.

Overall, thematic analysis enabled a structured yet flexible interpretation of the interview data and supported the identification of meaningful patterns across the participants' experiences and perspectives.

3.8 Quality of research

According to Lincoln & Guba (1985), the quality of qualitative research is based on the criteria of credibility, transferability, dependability and confirmability. These criteria of trustworthiness are inherently open-ended and can never be fulfilled to such an extent that trustworthiness could be considered unquestionable. Instead, trustworthiness should be understood as an ongoing process in which researchers continuously reflect upon and transparently demonstrate how the quality of the research study is ensured. The following section outlines the measures taken to ensure these criteria throughout the research process.

3.8.1 Credibility

Credibility refers to the extent to which the researcher gains access to participants' knowledge and experiences and is able to interpret their intended meanings from the language used (Saunders et al., 2023). Several techniques were applied to enhance credibility throughout the research process. Lengthy engagement with the research context helped build trust and rapport, enabling the collection of sufficiently rich data. Reflections and interpretations were continuously discussed between the authors to challenge assumptions and refine the analysis, and contradictory or divergent cases were considered to develop a more nuanced understanding of the phenomenon (Saunders et al., 2023).

During the interviews, particular care was taken to verify respondents' statements by asking participants to confirm whether interpretations of their responses accurately reflected their intended meaning, ensuring that accounts corresponded to their socially constructed realities (Saunders et al., 2023; Lincoln & Guba, 1985). Additionally, respondent validation, or member checking, was applied, whereby participants were returned to with interpretations and tentative findings to verify that their perspectives had been correctly understood and represented (Bell et al., 2022; Silverman, 2022; Lincoln & Guba, 1985).

3.8.2 Transferability

Transferability refers to the extent to which research findings are applicable to other contexts or settings (Saunders et al., 2023; Bell et al., 2022; Lincoln & Guba, 1985). Saunders et al. (2023) note that this requires a full description of the research question, design, context, findings, and interpretations, and further emphasize that qualitative research is generally intended to generate theoretical insights rather than statistical generalizations. To support transferability in this study, the research context is described in detail, including the companies involved, the conditions under which interviews were conducted, and the time period in which the study took place, while the entire research process is documented transparently, from company selection to data analysis. This allows readers to independently assess whether the findings are applicable to other settings.

Lincoln and Guba (1985) argue that transferability is not something researchers can establish on their own. Rather, it is the researcher's responsibility to provide a detailed and contextually rich description of the study so that others can make an informed judgment about whether the findings apply to their own settings or populations.

3.8.3 Dependability

Dependability refers to the extent to which data collection procedures and analysis techniques would produce consistent findings if the research study were repeated on another occasion (Saunders et al., 2023). To ensure dependability, all stages of

the research process were documented transparently, including the selection of interview participants, the development and application of the interview guide, and the systematic analysis of the collected data. All interviews were conducted using the same interview guide to ensure consistency and traceability throughout the research study.

Furthermore, the entire research process, including methodological decisions, changes and emerging research focuses, was continuously documented to allow third parties to understand and evaluate the development of the study (Saunders et al., 2023; Bell et al., 2022). In addition, established qualitative research methods were applied, including the involvement of multiple researchers as well as the preparation of detailed memos and notes concerning the coding, analysis, and interpretation of the data.

In the context of semi-structured interviews, dependability may be affected by interviewer bias, respondent bias, and the limited standardization of interviews. However, Saunders et al. (2023) emphasize that qualitative research does not necessarily aim to produce fully repeatable findings, as the results reflect a specific reality at the time of data collection and are intended to explore the complexity of the situation.

3.8.4 Confirmability

Confirmability refers to the extent to which findings of a study are shaped by the respondents and the data rather than by researcher bias, motivation, or personal interests. According to Bell et al. (2022), confirmability involves examining whether the investigator has allowed personal values to intrude excessively into the research process. The authors emphasize that, while complete objectivity is impossible in business research, researchers should be able to demonstrate that they have acted in good faith. Furthermore, it should be evident that personal values or theoretical inclinations have not overly influenced either the conduct of the research or the findings derived from the data (Bell et al., 2022).

To ensure confirmability, the research process was conducted in a transparent and reflective manner in order to minimize the influence of personal values and theoretical inclinations on the findings. Particular attention was paid to ensuring that the interpretation of the data was based on the participants' perspectives and the collected evidence rather than on the assumptions or preferences of the researcher. Although complete objectivity in business research is not considered achievable, efforts were made to demonstrate that the research was conducted in good faith and with methodological rigor throughout all stages of the research study (Bell et al., 2022).

3.9 Research Ethics

Research ethics refers to the standards of researcher behavior that guide the conduct of a study in relation to the rights of those involved (Saunders et al., 2023). Ethical considerations are particularly important when research involves human participants, and researchers are expected to identify potential ethical risks and minimize them accordingly (Bell et al., 2022). Several core principles guided this study throughout, including voluntary participation, the right to withdraw, informed consent, respect for privacy, and the avoidance of harm and deception (Silverman, 2022; Bell et al., 2022).

Since this study focused exclusively on company-related information rather than personal data, the identities of interviewees were kept anonymous and are not disclosed in the published research. However, given that potentially sensitive company information was involved, all participating companies were informed in advance about the purpose, scope, and intended use of the collected data, and it was clarified upfront which company-specific information could be processed and published. All participants received an information document and interview guidance prior to the interviews (see Appendix 1 and Appendix 2), and informed consent was obtained before data collection began. Participation was entirely voluntary, and participants were made aware of their right to withdraw at any time without consequence. All procedures were conducted in full compliance with the General Data Protection Regulation (GDPR) and the ethical guidelines of Linnaeus University.

3.10 Authors contributions

This thesis was co-authored by Nathalie Selzer and Sebastian Ljung, with both authors contributing equally to its development. While the thesis was divided into sections with each author taking primary responsibility for specific parts, the work was carried out collaboratively throughout, with both authors continuously shaping the overall direction, structure, and content. Regular review, feedback, and revision ensured consistency in writing style, argumentation, and quality. Decisions regarding research design, methodology, and interpretation of findings were made jointly, and both authors contributed to editing and refining the final version prior to submission. Both authors approve the final thesis and take joint responsibility for its content.

4 Empirical Results

This chapter presents the empirical findings. The findings are organized according to the thematic areas used in the interview guide and previously introduced in Chapter 3.6. In Section 4.1, the companies from which the data was collected are introduced. In Section 4.2 their understanding of geoeconomic uncertainties is discussed and in Section 4.3 their strategic approach to dealing with them is analyzed. In Section 4.4, the research study examines the importance of networks for companies, and finally, in Section 4.5 the research study describes, which internal capabilities are considered particularly relevant.

4.1 General data about the company

Swedish Company A operates in the financial sector and supports Swedish companies in their activities in the U.S., particularly in the areas of financing, consulting, and building networks as well as business contacts. The customer base consists of roughly equal parts large companies and SMEs.

Swedish Company B is a Swedish industrial firm specializing in the production of custom-made aluminium profiles. The company's primary markets are in Germany and Poland. The U.S. market accounts for only about 0.5% of annual revenue and is therefore of limited strategic importance. Accordingly, there are currently no plans to relocate production or expand into the U.S., even though the company has been active there for about 15 years.

Swedish Company C is a Swedish company that does not engage in direct sales to customers outside the EU. However, its own customers are selling the products to end users in the U.S. market. The company sells suspension systems, for which regulatory requirements and insurance costs are significantly higher in the U.S.

German Company D is a German defense company specializing in defense electronics and sensor technology. The company's operations are primarily focused on the German domestic market. However, the company remains indirectly connected

to the U.S. through its supply chain, as key components and parts are sourced from U.S. suppliers. Due to the confidential nature of the defense industry, the information provided by the company during the interview was limited and only discussed on a general level.

German Company E is a German automation technology company specializing in industrial PCs, automation software, drive technology and automation components. The company operates globally through various sales subsidiaries and has been active in the U.S. market since 1999 through its own subsidiary network. The U.S. market accounts for approximately 10% of the company's total revenue, making it an important but not dominant export market. The company exports its entire product portfolio to the U.S. and is particularly well established.

German Company F is a German bank primarily focused on supporting medium-sized companies in their international expansion activities. The company operates internationally through foreign branches and offices and maintains a presence in the U.S. market, particularly in the greater New York area. Its activities in the U.S. mainly involve supporting German companies that want to expand into the American market by providing consulting services, financial support, and guidance regarding local regulations and market conditions.

German Company G is a German consulting company operating in the financial sector with a strong IT focus, including in-house software development. The company develops and provides financial products and related documentation that are distributed through partner banks. It has been active in the U.S. market for approximately eight years. Although the U.S. market is considered an important and attractive market, it is not among the company's core markets, as the majority of its business activities are concentrated in Germany and other European countries. The company operates internationally through local partner banks rather than direct sales structures and usually establishes subsidiaries or branches in markets where it is active.

4.2 Perception of Geoeconomic uncertainty

The descriptions provided by all companies regarding the current market situation are largely similar. Company A states the U.S. market is *"such a massive market"* where *"even if one sector might be really struggling, another one is doing extremely well"*, emphasizing that *"it's very difficult to say anything about the U.S. in general"* given significant differences depending on state and industry. German Company D similarly describes the environment as *"not as import-friendly anymore"*, noting that *"the dependencies in supply chains [...] exist in the global economy"* and *"even the U.S. cannot easily separate itself from those"*. Swedish Company B states *"the uncertainty is the thing that are keeping the companies back at the moment"*, explaining that *"you cannot really plan because you don't know what he's going to say"* and that current uncertainty represents *"the biggest in the 21st century"*. German Company G notes that *"there are many regulations that constantly change"* and that the U.S. market is *"currently not as predictable as it used to be"*. While *"not as heavily affected as companies that actually deliver physical products and are subject to tariffs"*, it still finds political and regulatory developments difficult to anticipate, describing Asian markets as *"more predictable"*while continuing to view the U.S. as *"an interesting market because the financial sector in the U.S. is very large"*.

German Company D reports that tariff uncertainty *"created irritation"* and *"major uncertainty"* within international supply chains, with firms uncertain about *"whether import duties had to be paid and whether the higher tariffs would apply"*, complicating planning and logistics. German Company E similarly describes the U.S. market as *"quite uncertain due to the current U.S. administration"* while emphasizing it remains *"well positioned in the U.S. market"*. According to German Company F, the situation *"has become more difficult"* due to *"increasing trade tensions between the U.S. and Germany"*, with *"fewer German companies willing to invest in America"* and fewer customers actively entering the market. Its activities are now *"more focused on supporting existing clients that have already established operations there"*, with U.S. trade policies exerting *"significant"* influence on

strategic planning and *"fewer businesses currently prepared to pursue expansion into the United States"*. Although the U.S. remains important *"because of the American stock exchange"*, *"no additional expansion within the U.S. is currently planned"*.

On supply chains, Company A notes that *"a lot of the companies [...] changed their supply chains, they became more local"*, a trend that intensified during the pandemic as firms *"decreased all dependency on, let's say, China"*, with *"the supply chain structure"* becoming *"a huge focus for the last five to ten years"*. German Company D confirms this shift, highlighting that *"dependency on partners and suppliers is always critical"* in the defense industry and that *"new trade partners are being sought in Asia and elsewhere"*. German Company G draws a sharp distinction between industries: firms with *"production facilities and supply chains"* are *"less flexible"* and likely to *"act very cautiously and reconsider investments"*, while financial firms *"react much faster to developments"* as they *"do not deliver physical products"*, *"do not need such long planning horizons"*, and can shift resources flexibly between markets as *"our main costs are employees"*. German Company F similarly observes that while *"some manufacturing firms relocated production to the U.S. in order to avoid tariffs"*, this is rarely feasible for SMEs as *"these firms are generally too small for such large-scale relocations"*.

None of the companies view this uncertainty as confined to the U.S. Company A describes current geopolitical tensions as *"higher than they've been in a very long time"*, characterizing it as *"a new reality"*. Swedish Company B confirms that *"the Ukraine war [...] led to higher prices"* alongside the Iran conflict *"the energy crisis as well as now the oil prices and such had definitely costs"*, with aluminum trading at *"3,700 U.S. dollars per ton"* — *"the highest price we've seen"* — while also citing the China-Taiwan conflict: *"we also have the China Taiwan kind of thing"* and therefore *"prices of raw material also will rise"*. Swedish Company C similarly reports rising production costs passed on to customers through higher prices. German Company D identifies *"the war in Ukraine"* and the *"increasingly nationalistic policies of the U.S."* as the developments with the greatest business impact, resulting in *"cost*

increases", *"shrinking margins"*, and revenue challenges across *"all three aspects"*. German Company F cites the *"financial crisis of 2008"* and *"the Covid-19 pandemic"* as the most significant events affecting its clients, while Company E points to the pandemic's initial surge leading to *"extremely high sales"* followed by *"a sharp decline"*, alongside shipping disruptions and *"long delivery times from East Asia"*. German Company F further notes that German SMEs *"generally prefer long-term and stable planning environments"* and remain highly sensitive to instability, viewing *"continued uncertainty regarding tariffs and political instability"* as the most relevant future scenario given that *"the political situation can change very quickly"*.

Discussing U.S. tariffs under the Trump administration, Swedish Company B notes that historical rates of *"between 2 and 3%"* have risen to *"10 to 20% from the European Union"*, with *"businesses that do have the main market in the U.S."* facing *"a bit of a challenge to overcome"*. The administration is characterized as unpredictable: *"the president nowadays, he says one thing the other day and the next day he kind of changes what he says"*. The direct burden is transferred through a *"pass-through"*, with customers becoming *"more cautious"* and looking toward domestic markets, while uncertainty remains about what will happen once current agreements expire. German Company G, though not directly affected by tariffs, states that *"strategic planning has become more difficult"* as *"nobody really knows"* what regulatory developments may emerge, describing the situation as *"less predictable"* because *"it is difficult to foresee what new laws or regulations might be introduced"*. It views the uncertainty as mainly *"temporary"*, though acknowledges that *"long-term planning has become more difficult compared to the past"*.

German Company E reports that *"the electronics tariffs in particular created major uncertainties"* — not because of the rates themselves but due to lack of clarity regarding *"which imports were affected"* and *"what data had to be provided"*, creating *"an enormous bureaucratic burden"* around customs classifications and compliance obligations. Swedish Company C states it is not directly affected as it has *"no direct sales to companies outside the EU"*, with only indirect exposure through customers

whose end customers are in the U.S., noting they *"have not noticed any major difference in that regard so far"*. However, some customers are forced to store orders for U.S. end customers: although goods are *"ready for delivery"*, U.S. customers hesitate to import while uncertainty persists, as *"the end customers do not dare import products from the EU before they know what the situation regarding tariffs and fees will look like"*, leaving paid-for goods in storage with *"no idea when they will be able to ship"* them. By contrast, German Company E reports that cable products and high-steel transport systems were directly affected by Section 232 tariffs, while industrial PCs remained *"largely exempt from U.S. tariffs"* and continued to be imported at *"0% tariffs"*.

Company A emphasizes the highly variable impact of tariffs: companies with local production are *"not really"* affected while export-oriented firms are *"having a much more challenging time on navigating"* the situation, with a tariff structure described as complex given *"a vast number of exceptions and different rates"*. The broader environment is characterized as *"super low visibility"* where *"trade regulations can change overnight"* due to *"new political decisions or court rulings"*. Despite this, Company A continues to view the U.S. as *"a massive market"* with *"massive opportunities"*, while Swedish Company B considers EU regulations *"very minor things"* by comparison.

On SME-specific vulnerability, Company A notes that *"large companies have a lot easier to adapt because they have large local presence"*, while medium-sized firms *"hold back a little"* because *"they don't know what rules and regulation apply two months from now"*. Swedish Company B similarly states that *"Spotify can easily just open up new hubs in the U.S. without any problem, but as for SMEs, it's not as easy"*, with SMEs needing *"more contacts in the country"* and stronger local networks. German Company G argues that *"small companies are usually less diversified"*and therefore more exposed *"if one market disappears or shrinks"*, and that *"small companies cannot afford large legal departments"* to monitor compliance, leaving them with less financial capital to adapt. German Company D adds that SMEs face increasing pressure from larger firms as *"profits and margins become*

too small" and *"products become too expensive"*, being more vulnerable due to *"fewer strategic partnerships"* and being *"more heavily affected by shrinking profit margins"*. German Company E likewise notes that smaller firms *"often don't even have a dedicated customs department"* and require *"significantly more resources for the U.S. market now"* even when it represents a small share of revenue.

On the time horizon of uncertainty, Company A explains that trade agreements, subsidies, and support functions have the greatest overall impact on firms. Swedish Company B views current challenges as mainly temporary — *"as of today, I would say it's temporary [...] but I doubt it's going to be as uncertain as it is today, to be honest"* — though inflation and rising prices remain the most relevant future challenge. Company D describes it as *"a mixture of both"* temporary and structural, expecting that *"it won't stay exactly as it is now"* while believing some elements will remain. Company G similarly views the situation as mainly temporary, potentially lasting *"another three years"*, while noting that IB activities are generally no longer *"as long-term plannable as they were in the past"*. Company F, by contrast, views the uncertainty as primarily structural, warning that *"the current investment backlog will continue to affect future years"*, *"long-term planning has already been disrupted"*, and *"there will not simply be a catch-up effect overnight"* even if political conditions stabilize.

4.3 Strategic adaption

Swedish Company B states that, due to U.S. tariffs, no significant structural adjustments have yet been made to its own supply chains or production structures. As they explain, *“not as of today”* major changes have been implemented. At the same time, the company states that *“the supply chain will maybe have slightly changes to it”* depending on future developments and pricing conditions. Furthermore, the company emphasizes that *“relocating production is not anything that we’re going to do since our customer segment is way too small for us to conduct such a thing”*. According to them, such a relocation *“wouldn’t be profitable”*.

German Company D, however, reports that adjustments to supply chains have already been made in order to reduce dependencies within supplier networks and to minimize the impact of export controls on business operations. In addition, the company states that there are efforts *"to become less dependent"*. Furthermore, German Company D notes that these adjustments are also linked to export controls, as firms seek structures that are *"not influenced as much anymore"* by international restrictions and regulations.

German Company F reports *"for most of our clients, relocating operations to the U.S. to avoid tariffs was not feasible"*, particularly for SMEs. Instead, they observe that firms are *"increasingly looking for partners outside the United States"*. The company further explains that Germany as *"very strict supply chain regulations"*, making international expansion more difficult in certain regions. Furthermore, the company notes that *"the U.S. used to be a very strong partner"*, but because *"the American market is no longer the dominant growth market for all industries, some priorities are shifting"*. In addition, they state that *"supply chains were partially restructured"* as firms attempted to reduce risks associated with geopolitical uncertainty and trade restrictions.

Company A, on the other hand, notes that, *"a lot of the companies [...] changed their supply chains, they became more local"*. German Company E reports *"generally no"* major changes have been made, although there have been *"small adjustments"*. More specifically, the company explains that its U.S. subsidiaries now *"order fewer products that are heavily affected by tariffs"*. They further note that certain products of Chinese origin as well as stainless-steel transport systems were particularly affected by recent tariff changes. According to the company, these systems *"now fall under the 15% tariff"*, and *"since then, we haven't had any orders for those stainless-steel systems"*.

German Company F also reports, *"risk write-downs have become a major issue for our clients"*. The company further explains that *"many companies had to make financial write-downs because they could no longer realize expected profits"*. According to them, *"the uncertainty caused by tariff policies directly triggered these*

effects". At the same time, the company notes that the impact differed between imports and exports. While *"imports faced fewer problems because they were not directly affected by tariffs"*, export strategies were adjusted more strongly, particularly among firms exporting German products to the U.S..

Furthermore, Swedish Company B points out that, whilst there are generally ways to bypass tariffs, the company does not make use of them. As they explain, *"there's definitely ways you can bypass the tariff for sure"*. Nevertheless, the company clarifies that *"we're not doing anything in that sense that I know of"*. In addition, the company is increasingly relying on hedging strategies to protect itself against price fluctuations, explaining, *"we have to kind of hedge a bit" but this applies "domestically and to other European markets as well"*. They also work with several suppliers to ensure security of supply and adequate stock levels.

German Company G also highlights the importance of hedging strategies in dealing with geopolitical and economic uncertainty. Interestingly, the company itself provides hedging products for internationally active firms. According to the company, its products are mainly used by firms seeking portion against *"currency or interest rate fluctuations"*. German Company G further notes that demand for *"interest rate and foreign exchange products remain high"* despite geopolitical uncertainty. However, the company also emphasizes that there is *"no entirely new product needed now"* because such financial risks have always existed in IB activities. Similarly, German Company G reports that tariffs and regulatory changes have only had limited effects on pricing structures and competitiveness. According to the company, the impact has been *"only slightly"* noticeable because many prices are already market-based and flexible. They explain that *"markets are volatile, but we can react to that"* by adapting products and pricing structures according to customer expectations and market conditions. Furthermore, German Company G states that *"because prices are flexible and market-dependent, we have not needed to make major adjustments"*. German Company D similarly explains, *"I would say generally yes"* when asked whether market focus and export strategies had been adapted due to uncertainty in the U.S. However, they also stress that highly

specialized industries such as its own have only limited flexibility in reacting to tariffs, explaining that *"even if we were exporting, tariffs would not be the main driver"* because such industries remain dependent on highly specialized imports and exports.

German Company G emphasizes the importance of partnerships as part of its international strategy. However, the company explains that partnerships are not established *"to avoid tariffs"* but rather *"to improve market access and gain know-how"*. Since the company operates primarily through partner banks and digital services, strategic adjustments are implemented more through flexible market coordination than through structural relocation of production or supply chains. Similarly, German Company E reports that, its U.S. subsidiaries attempted *"to pass the tariffs directly on to customers without increasing the actual product prices"*. At the same time, some product categories, such as industrial PCs, were *"largely exempt from tariffs"*, meaning that *"the impact on profit margins was actually positive"*.

Similarly, German Company F explains *"export strategies were adjusted"*, although the strongest effects mainly concerned firms importing German goods into the U.S. The company further explains that for exports, *"the impact was less severe because the additional costs were often borne by U.S. parters or passed on elsewhere"*. Nevertheless, they observe that many firms have become more cautious regarding long-term expansion and investment decisions in the American market.

Swedish Company B also confirms that it has no plans to withdraw from the U.S. As they state, *"diversifying away, not really, I wouldn't say"*. However, future developments depend heavily on the behavior of its own customers. According to the company, *"if they feel like they want to go into their domestic market, that's up to them really"*. The company further emphasizes that *"we gladly trade with U.S."* and that its market focus *"is going to be the same"*. Additionally, they note that it is *"relatively unaffected since […] we don't have as many customers in the U.S."* German Company D likewise reports that no investments or export expansion measures toward alternative regions have been initiated. Furthermore, the company states that no investments have been reduced, suspended, or postponed as a

consequence of current geopolitical uncertainty. German Company G similarly reports that no major changes have been made regarding market focus or export strategies because the U.S. market is *"not our most important market"*. The company further explains that it has not reduced or delayed investments in the U.S. because *"there has simply been no reason for that so far"*. Nevertheless, they acknowledge that diversification away from the U.S. market must always remain an option if future regulations make business operations significantly more difficult. At the same time, the company emphasizes that it can *"react relatively quickly"* because its business model does not depend on large-scale physical production systems. German Company F, however, reports increasing diversification tendencies away from the U.S. market. According to the company, *"we observed strong interest among companies in moving away from dependence on the U.S. market"*. At the same time, the company emphasizes that the U.S. continues to remain relevant because it is *"a strong financial market and stock exchange location"*, which *"continues to influence investment decisions"*. Nevertheless, the company explains that long-term strategic planning is increasingly shifting away from the U.S. because *"financial planning is difficult"* under the current geopolitical conditions.

At the same time, German Company F reports that regulatory consulting and international advisory services have become increasingly important as part of the company's strategic adaption. According to the company, advising clients on *"how to deal with regulatory uncertainty"* is now *"a very important business area"*. They further explain that it sees itself as *"particularly well positioned"* in this regard because IB activities require expertise regarding local regulations and geopolitical developments. German Company E also confirms that it has not considered relocating production or diversifying away from the U.S. market. As the company explains, *"we still see the U.S. market as attractive"* and are *"very well established there with more than 13 locations"*, referring to their broad sales and distribution presence in the U.S. market. Furthermore, they state that there is currently *"no need to establish production in the U.S."*, since most production activities remain located in Germany. At the same time, the company highlights that regulatory and compliance requirements in the U.S. have increased significantly in recent years,

particularly regarding government contracts and restrictions on certain electronic components.

Swedish Company B observes that many companies are under financial pressure as a result of the current crises. As they state, *"the energy crisis as well as now the oil prices and such had definitely costs"* and *"it's affecting all of us"*. In addition, overall risk awareness has been heightened, for example through the use of tools, e.g. for credit checks. However, these measures apply globally and are not specific to the U.S. or the current crisis. German Company F additionally reports changes in demand for financing and consulting services since geoeconomic uncertainty increased. According to the company, *"we are seeing more requests for financing than during the COVID period and the immediate recovery phase afterward"*. However, the company notes that these developments are *"not only because of international developments"* but also linked to several recent economic crises within Germany, Furthermore, they explain that *"investment volumes have increased again"*, particularly in *"real estate financing within Germany"*.

German Company F identifies *"primarily diversification"* is used by clients to reduce risks. The company further explains that *"long-term plans are increasingly shifting away from the U.S."* because uncertainty makes financial planning more difficult. At the same time, however, they emphasize that the U.S. remains important due to its financial markets and therefore *"continues to influence investment decisions and keeps us active there"*.

In this context, Swedish Company A recommends ensuring that sufficient capital is available for planned investments. As they explain, firms *"need to have a very solid understanding of [their] financial situation before making investments"*. The company further emphasizes that *"if you don't have enough capital available, it can become very risky very quickly"*, particularly when customer and supplier contracts are not adequately secured.

Finally, Swedish Company A emphasizes *"due diligence today is significantly more comprehensive than before"*. The company further states that firms must

increasingly consider *"geopolitical developments, sustainability requirements and regulatory aspects"* in their investment decisions. Swedish Company B adds that, for SMEs, greenfield and brownfield investments can represent relatively straightforward adaptation strategies. As they explain, larger firms *"can easily just open new hubs in the U.S."*, whereas SMEs often lack the same flexibility. German Company G additionally explains that establishing local subsidiaries is part of its general internationalization strategy. According to the company, *"if we are active somewhere, we usually establish a branch or subsidiary there"*. However, this approach is described as a standard organizational practice rather than a direct reaction to current geopolitical uncertainty or U.S. trade policy. German Company F further explains they are *"increasingly focusing on locations in Asia, such as Shanghai and Tokyo"*. In addition, *"other activities are also being shifted toward Asia, including Singapore"*. The company also reports examples of operational offshoring, explaining that "some programming activities are now base in Malaysia". According to them, these developments are linked to the perception that *"political conditions there are perceived as more stable"* compared to the current geopolitical environment surrounding the U.S. market.

4.4 Networks & Embeddedness

Swedish Company A emphasizes the critical importance of local networks, particularly partners and distributors. As they state, *"the local legal advisor is always extremely important"*. The company further explains that without local expertise, companies face considerable risks in the U.S., firms therefore *"have to understand the regulation requirements in all those states"*, because *"operating in New York is one thing, operating in Mississippi is completely different"*. In this context, they emphasize that local partners are essential for navigating areas such as contract negotiations, taxes and regulatory requirements.

Swedish Company B also explain, "*you need to have local power in the country you're operating in"*. However, according to them, *"that goes for every market, not only the U.S. market"*. The company further describes local embeddedness as *"a fundamental prerequisite"* for operating successfully abroad. This is particularly

relevant when entering new countries, as local partners, among other things, facilitate a better cultural understanding and thus help reduce barriers to market entry. As they state, firms *"need to have more contacts in the country"* and *"understand how the culture works and how business is conducted there"*. According to the company, these local relationships are especially important in uncertain geopolitical environments. Furthermore, Swedish Company B states that, in light of the current geopolitical situation, cooperation with existing suppliers has also been intensified and strategically strengthened. As they explain, *"we work with several suppliers"* in order to ensure stability and flexibility within the supply chain. The company further emphasizes that strong supplier relationships are necessary because *"the uncertainties are very, very dominant now"*.

German Company F similarly emphasizes the importance of local partnerships, foreign offices, and trusted networks for operating successfully under conditions of geopolitical uncertainty. According to the company, *"we see ourselves as exactly that type of partner"* for German SMEs operating in the U.S. market. They explain that its role is to act as *"the local contact point for our clients in the U.S."* and to support firms in adapting to local market conditions and regulatory environments. The company further emphasizes that local embeddedness is particularly important because clients *"already trust us in their home market"*, allowing the firm to *"extend this regional strength abroad and adapt solutions to local investment conditions"*. Consequently, they conclude that *"local partnerships and foreign offices [are]very important"* for managing uncertainty and supporting international expansion activities.

German Company F additionally observes that geopolitical developments increasingly influence how firms structure international partnerships and networks according to the company, this trend is *"especially visible in Asia, where governments actively encourage partnerships and local participation"*. In contrast, they explain that such developments *"have not been as noticeable yet"* in the U.S. market. Nevertheless, the company emphasizes that the U.S. continues to play an important role as a financing location, particularly for *"IPOs or mergers and acquisitions"*.

Furthermore, German Company F, notes that many firms still *"prefer access to American capital markets and investors rather than Chinese investment"*. According to the company, these decisions are *"not always strategic but are often financially motivated"*, illustrating that financial market access continues to shape international partnership structures despite increasing geopolitical uncertainty.

German Company G similarly emphasizes local partnerships are *"extremely important"* and have *"always been important"* for the firm's IB activities. Since the company does not maintain its own direct sales operations abroad, it *"always work[s] through local partners"*. More specifically, German Company G cooperates with *"partner banks that offer our products to customers"*, while the company itself provides the financial products and related services. The company further highlights that these partnerships have become even more relevant in the current geopolitical environment, particularly due to the increasing *"America first mentality"* in the U.S. according to them, *"it is easier to sell products through an American company than directly as a foreign company"*, demonstrating the importance of local embeddedness and domestic market access for foreign forms operating in the U.S.

German Company E likewise stresses local partnerships are *"extremely important"*, particularly because firms need *"people on the ground in the U.S. who understand both global and local customers"*. The company further explains *"local market knowledge and feedback about customer concerns are incredibly valuable"*. In addition, they highlight the role of industry networks and associations in representing business interests abroad. The company notes that its industry association's U.S. counterpart has been *"in contact with U.S. authorities to communicate the concerns of machine builders and the electrical industry"*. This illustrates that local networks not only support market access and customer understanding but also facilitate communication with policymakers and regulatory actors during periods of uncertainty. However, unlike some other firms, German Company E states that it has not fundamentally restructured or strengthened its partnerships.

German Company D likewise states, such networks are *"important"* in order to manage geopolitical and economic uncertainty. In particular, they emphasize the importance of partnerships within the defense sector explaining that *"good partnerships"* with firms and actors in *"NATO and EU states"* are necessary in order to *"protect oneself against the influence of the U.S. situation"*. Furthermore, the company stresses that these forms of cooperation are becoming increasingly important as firms attempt to strengthen their strategic independence and resilience.

German Company G reports *"we have maintained our partnerships"* and *"nothing has really changed in recent years"*. This indicates that the company already relied strongly on local partner networks before the current increase in geopolitical uncertainty and therefore did not need to fundamentally reorganize its existing corporation structures.

4.5 Internal Capabilities & Resilience

Swedish Company A emphasizes that Swedish companies enjoy a very positive image in the U.S., perceived as *"highly skilled industry leaders"* associated with *"very high technical competence"* and *"high quality services"*, enabling Swedish SMEs to compete successfully with larger U.S. corporations as *"they are often more competitive than U.S. companies in many areas"*. The U.S. is described as a *"very business-oriented country"* that is *"actively interested in attracting foreign competence and capital"*.

On digital tools, Company A notes that *"there's more data available than ever before"* but also *"much more noise"*, meaning technologies such as Artificial Intelligence (AI) create *"both opportunities and risks"*, with *"what matters being how you use the technology"* given that AI can *"analyze huge amounts of data in a very short time"*. Company A further emphasizes that digital technologies support businesses through *"better market intelligence"* and by increasing *"flexibility in supply chains"*. German Company E similarly states that digital tools *"absolutely"* help the firm respond to uncertainty, using *"all available systems to analyze which products are affected"* by tariffs and regulations, alongside *"our own systems for product and*

article management", with *"AI tools used from time to time as well"*. Swedish Company B uses tools such as *"CreditSafe"* for credit checks and market intelligence, applied *"globally, not only for the U.S. market"*. German Company F highlights that *"digital tools are now essential, not only internationally but especially in that context"*, enabling firms to *"react rapidly to new regulations"* and *"allow information flows to be updated much faster"*, allowing firms to *"implement rule-based changes almost immediately"* rather than waiting for traditional communication structures to adapt. The company further notes that digital tools *"improve communication with local partners and allow firms to adapt their strategies more efficiently"*, concluding that *"digital tools are extremely important"* for monitoring geopolitical developments and reacting flexibly to changing market conditions. German Company G notes that activities such as *"monitoring markets or regulations"* have *"always been part of our normal operations"*.

On internal capabilities, Swedish Company A identifies a thorough understanding of local market conditions as the most important capability for SMEs, explaining that firms need *"a very deep understanding of the local drivers and local risks"*, a process described as *"very resource intensive"*. German Company E stresses that *"organizational agility is very important"* as firms *"need to react quickly and mobilize resources rapidly"*, requiring *"constant communication and fast reactions to major geopolitical changes"* — illustrated by the need for employees to *"coordinate with product managers to determine whether certain components were included in products and how we should handle the situation"*. German Company G similarly identifies adaptability and innovation capability as the most important internal competencies, arguing that firms first need *"to understand how a foreign market functions"* and *"all the regulations your products fall under"* — described as *"the key ability"* — while remaining *"flexible and able to adapt both when entering a new market and when the market changes"*, and maintaining close cooperation with distribution partners to react to *"new opportunities and customer demands"*. German Company F emphasizes that *"the more established a company is internationally, the more reliably it can conduct risk analyses and deal with changing conditions"*, with *"monitoring international regulatory developments"* described as *"one of our*

core competencies". The company explains that firms must be able *"to understand, interpret, and apply regulatory requirements in foreign countries"*, noting that *"requirements differ significantly between countries and companies"*, making regulatory adaptation *"a key capability that banks should provide"*.

On SME vulnerability, Swedish Company B stresses that *"you need to have a thorough risk assessment"* and *"very good market knowledge"* to manage uncertainty, emphasizing that SMEs are *"much more vulnerable to geopolitical changes"* than larger corporations. German Company D similarly highlights that SMEs *"have fewer strategic partnerships"* and are *"more heavily affected by shrinking profit margins"*, while stressing that innovation capability is central — *"our industry is 100% driven by innovation"* — and that *"support for innovation would help most"* as *"being innovation-driven is essential"*. German Company G notes that smaller firms are *"usually less diversified in terms of products"*, meaning the loss of a single market affects them *"much more strongly"*, and that SMEs cannot afford *"large legal departments that monitor regulations and ensure compliance"*, leaving them with fewer financial resources compared to large corporations such as *"Mercedes"* that *"can react to market changes very differently than a small company that specializes in one niche product"*. German Company F stresses the importance of resilience and diversification, offering *"different products that enable diversification within our clients' portfolios"* and aiming to help German companies *"view the international environment as an opportunity for growth and innovation"*, while emphasizing that *"a strong foundation in the home market remains extremely important"* when dealing with international uncertainty.

On recommendations, Swedish Company A emphasizes that the U.S. continues to offer *"massive opportunities"* and advises firms not to be guided solely by *"media headlines"* but to engage directly with *"customers, suppliers and local partners"*. Swedish Company B, on the other hand, recommends that policymakers pursue liberal trade policies, arguing that "*protectionist measures are hurting SMEs the most*". German Company G argues that SMEs would benefit from stronger collective structures, stating that *"it would help if there were stronger associations or*

networks for SMEs" to allow smaller firms *"to act together instead of individually"* and gain *"more bargaining power, almost like a large company"*.

Finally, on strategic posture, Swedish Company B describes responding with *"a mix between proactive and reactive measures"*. Companies D, E, and G characterize their approaches as primarily reactive. Company D notes some proactive elements but confirms responses are *"primarily reactive"*. Company E similarly describes its approach as *"mostly reactive"*, with prior experience enabling some proactive preparation, though regulations are *"so uncertain and can be withdrawn quickly"* that it is difficult to justify *"investing too many resources in advance"* — noting that *"even the new Section 232 tariffs are already being legally questioned"*, meaning firms risk committing resources to measures that may prove unnecessary. Company G likewise describes its approach as *"more reactive"* than proactive, focusing on remaining flexible and adapting quickly once developments become clearer.

5 Analysis and Discussion

This chapter analyses the empirical findings presented in Chapter 4 in light of the theoretical framework developed in the literature review. The analysis follows the thematic structure of the empirical chapter, beginning with how the studied companies perceive geoeconomic uncertainty, before moving on to their strategic responses, the role of networks, and the internal capabilities they consider important. A concluding section synthesizes these themes and reflects on the conceptual framework presented in Chapter 2.

5.1 Perception of Geoeconomic Uncertainty

The seven companies describe the current market environment with striking consistency. Without exception, they characterize the U.S. market as highly uncertain and difficult to predict, attributing this primarily to political and regulatory unpredictability rather than ordinary market volatility. Company B describes the present situation as among *"the biggest in the 21st century"*, while Company A characterizes the environment as one of *"super low visibility"* in which *"trade regulations can change overnight"*. This corresponds closely to the conceptualization of geoeconomic uncertainty in Section 2.3 as firm-level uncertainty arising from the strategic use of economic policy instruments for geopolitical purposes (Witt, 2019; Witt et al., 2023), and the emphasis interviewees place on the deliberate, shifting nature of policy reflects the policy-driven uncertainty Wigell et al. (2021) distinguish from traditional, host-country political risk.

The firms also stress that the U.S. market is far from homogeneous. Company A notes that *"operating in New York is one thing, operating in Mississippi is completely different"*, so that uncertainty is experienced not as a single national shock but as a fragmented landscape of state — and sector-level regulatory divergence, which raises the cost of monitoring and interpretation.

Notably, none of the firms treat this uncertainty as confined to the U.S., Company A describes current geopolitical tensions as *"a new reality"*; Company B points to

the war in Ukraine, the Iran conflict, and China-Taiwan tensions as drivers of rising commodity and energy prices; Company C reports comparable raw-material cost pressure; Company D identifies the war in Ukraine and *"increasingly nationalistic policies of the U.S."*; and Companies E and F emphasize the COVID-19 pandemic and supply bottlenecks. This global framing aligns with Fernhaber and Schwens' (2026) argument that contemporary developments produce cross-border effects beyond firms with direct international engagement and supports Witt's (2019) view of fragmentation as structural rather than localized.

The impact of these developments is unevenly distributed. Company A observes that firms with local U.S. production are *"not really"* affected by tariffs, whereas export-oriented firms face a *"much more challenging"* situation; Company E shows the same logic at product level, its industrial PCs *"largely exempt"* while high-steel-content products were hit by Section 232 measures. This is consistent with the institution-based view (Peng et al., 2008) and with Witt et al.'s (2023) account of selective decoupling. The material suggests, however, that industry sensitivity operates as a broader dimension of variation than its firm-level-moderator role implies: Companies F and G both draw a sharp divide between service and manufacturing firms, with Company G noting that businesses with *"production facilities and supply chains"* are *"less flexible"* and *"act very cautiously"*, whereas financial firms *"react much faster"* because they *"do not deliver physical products"*.

A particularly prominent theme is the burden of compliance. Company E describes how electronics tariffs created *"an enormous bureaucratic burden"*, not through the rates themselves but through uncertainty over *"which imports were affected"* and *"what data had to be provided"*, framing this as an SME-specific problem since smaller firms *"often don't even have a dedicated customs department"*. Company G makes the parallel point that small firms *"cannot afford large legal departments"*. These accounts give direct weight to the compliance-pressure mechanism in the framework and confirm that the disadvantage of size operates not only financially but through the administrative and cognitive load regulatory complexity imposes on firms without dedicated expertise.

More broadly, the interviewees agree that SMEs face systematically greater difficulty than large firms. Company A notes that large firms adapt more easily through *"large local presence"* while medium-sized firms *"hold back"*; Company B contrasts the ease with which *"Spotify can easily just open up new hubs in the U.S."* with SME constraints; and Companies D and G point to thinner diversification and shrinking margins. These observations support the structural disadvantages of size and the argument that SMEs are disproportionately exposed to geopolitical risk (Sinani & Zilja, 2025; Patsiaouras et al., 2026).

The firms diverge in how they frame the uncertainty's time horizon. Companies A and F read it as structural — Company F warns that *"there will not simply be a catch-up effect overnight"* — while Companies B and G lean toward temporary, and Companies D and E describe *"a mixture of both"*. From the perspective of managerial sensemaking (Weick, 1995) and the attention-based view (Ocasio, 1997), this matters: firms reading the situation as temporary expect normalization, while those reading it as structural prepare for permanent fragmentation. Crucially, the divergence does not align with national context, indicating that sensemaking operates at the firm and individual level rather than as a country-level characteristic.

5.2 Strategic Adaptation

The strategic responses are notable as much for what they exclude as for what they include. Despite the uncertainty described above, not a single firm reports considering withdrawal from the U.S. market. Company A regards complete withdrawal as too far-reaching for a relatively short period of uncertainty; Companies B, D, E, and G similarly report no withdrawal and no reduced or postponed investment, with Company E still viewing the market as attractive and *"very well established there with more than 13 locations"*. This continuity is notable in relation to the de-internationalization literature (Benito & Welch, 1997): although the conditions the interviewees describe are conceptually consistent with circumstances under which de-internationalization might occur, the observed responses lean decisively toward continuity rather than retreat.

The picture is, however, more textured than continuity alone. The full sample shows partial portfolio rebalancing: Company F reports *"strong interest among companies in moving away from dependence on the U.S. market"* and is itself shifting focus toward Asia; Company D describes a sector-wide effort *"to become less dependent"*; Company G keeps diversification as a standing option; and Company E shows a product-level demand effect, receiving no orders for stainless-steel systems once they fell under a 15% tariff. The market-level category is therefore best described as continuity combined with selective, incremental rebalancing, giving the framework's commitment-adjustment mechanism modest support without amounting to full de-internationalization.

Real options theory (Tong & Reuer, 2007) helps explain both the continuity and the cautious character of the adjustments that occur. Company B's decision not to relocate production because its U.S. customer base is *"way too small"* preserves the option of future expansion without an irreversible commitment, and Company E's *"small adjustments"* follow the same low-commitment logic. Most strikingly, Company E justifies a reactive posture in explicitly option-theoretic terms: because regulations are *"so uncertain and can be withdrawn quickly"* and recent measures are *"already being legally questioned"*, investing resources in advance risks committing to measures that may later prove unnecessary. The widely reported reactivity of these firms thus reflects not passivity but a considered response to genuine policy reversibility.

Operationally, the firms show moderate adjustment, consistent with the supply-chain reconfiguration literature (Bednarski et al., 2025; Malik & Terzidis, 2025). Company D has adjusted supplier networks *"to become less dependent"*, partly in response to export controls; Company B works with multiple suppliers and has shifted to shorter-term, hedged pricing; and Company E relied on large inventories rather than just-in-time structures. Two qualifications matter. These adjustments remain incremental and modest in scale — Company F notes that production relocation is infeasible for firms *"too small for such large-scale relocations"* — and several are not strictly U.S.-specific, with Company B emphasizing that its revised

pricing applies *"hedging and to other European markets as well"*, suggesting geo-economic uncertainty reshapes operational routines more broadly than tariffs alone.

Mapped onto the typology in Section 2.4, the responses fall into a clear pattern. Market-level responses are dominated by continuity; operational responses are present but moderate; relational responses are the most prominent and are discussed in Section 5.3. Political responses, though present, are thin and indirect rather than absent. Company E's industry association has been *"in contact with U.S. authorities to communicate the concerns of machine builders"*, and Company G argues for stronger SME associations so smaller firms can *"act together"* and gain *"more bargaining power, almost like a large company"*. Legitimacy management also appears, in Company B's deliberate choice not to circumvent tariffs despite acknowledging that *"there's definitely ways you can bypass the tariff"*. Political engagement thus operates, as the nonmarket strategy literature predicts, through indirect and collective channels. Cognitive responses appear as more comprehensive due diligence, heightened risk awareness, and digital monitoring.

The service/manufacturing divide also shapes the form of adaptation. The financial and consulting firms (A, F, and G) adapt through flexible market coordination and resource reallocation — Company G notes that since *"our main costs are employees"*, resources shift easily between markets — and Company F by repositioning its own advisory offering. The manufacturing firms (B, D, and E) adapt through supply chains, pricing, and product mix, and describe themselves as less flexible. Industry sensitivity thus conditions not only the intensity but the form of adaptation.

Finally, two firms illustrate indirect transmission. Company C's decision not to enter the U.S. directly is attributed to its business model — higher regulatory, insurance, and damages costs — a case of formal institutional structures shaping internationalization independently of geopolitics; its report that customers must warehouse goods amid tariff uncertainty illustrates Fernhaber and Schwens' (2026) indirect-transmission mechanism. Company D, though conducting no direct U.S. business, remains *"indirectly connected"* through U.S. suppliers, and its export-

control-driven supplier diversification shows geoeconomic uncertainty reshaping behavior even without direct cross-border sales.

5.3 Networks and Embeddedness

The importance of local networks emerges as the single most consistent theme across the interviews. Company A describes local partners and advisors as *"extremely important"* for navigating contracts, taxation, and state-level regulation; Company B calls local embeddedness *"a fundamental prerequisite"* for operating abroad, facilitating cultural understanding and market access; Companies E and G likewise call local partnerships *"extremely important"*, with Company E stressing the need for *"people on the ground"* who understand local customers; and Company F positions itself as exactly this *"local contact point"* for German clients.

These observations align with the revised Uppsala model (Johanson & Vahlne, 2009) and its concept of the liability of outsidership, which the literature expects to intensify under geoeconomic uncertainty as geopolitical tensions reshape business networks. Company G provides a sharp illustration: the increasing *"America first mentality"* means *"it is easier to sell products through an American company than directly as a foreign company"*. Here the outsider disadvantage is not merely informational but structurally and politically produced, and local embeddedness is the firm's primary means of mitigating it.

Most analytically interesting is how local networks substitute for capabilities SMEs lack in-house. The literature identifies regulatory monitoring, legal interpretation, and policy navigation as functions large firms internalize but SMEs cannot afford (Sinani & Zilja, 2025; Patsiaouras et al., 2026). The sample's reliance on local partners for contracts, tax, customs, regulation, and cultural understanding indicates that embeddedness is not a strategic preference but a structural necessity — connecting to dynamic capabilities theory (Teece, 2007), in which firms compensate for internal capability gaps through external relationships.

The material also shows networks deepened under stress rather than reconstructed: Company B has intensified and strategically strengthened cooperation with existing suppliers, consistent with the resilience literature (Malik & Terzidis, 2025) and the network-embeddedness logic of revised Uppsala theory, while Company G's stable partnerships reflect a model already built on local partner banks. In several cases networks also blur into political and resilience strategy — Company D stresses that partnerships with firms in *"NATO and EU states"* serve to buffer the influence of the U.S. situation — suggesting the typology categories, while useful, are in practice interwoven.

Companies A, F, and G are, however, themselves network actors, so their testimony on the importance of networks partly describes their own value proposition. This does not undermine the finding — the operating firms confirm it independently – but the relational theme's prominence is reinforced by sample composition. The country dimension is also partially visible. The German cases display the dense, association-based networks that the varieties-of-capitalism literature (Hall & Soskice, 2001) associates with coordinated market economies.

5.4 Internal Capabilities and Resilience

The internal capabilities the firms describe map onto the dynamic-capabilities and resilience perspectives in Sections 2.1 and 2.6. Several identify what Teece (2007) terms sensing capabilities as the most important competence under uncertainty: Company A stresses *"a very deep understanding of the local drivers and local risks"*, Company B *"thorough risk assessment"* and market knowledge, Company F *"monitoring international regulatory developments"* as a core competency, and Company G the ability to understand *"all the regulations your products fall under"* as *"the key ability"*. This emphasis links directly to the compliance-pressure theme of Section 5.1: what these firms most value, in effect, is the capacity to absorb a rising interpretive burden.

Reconfiguring and agility capabilities are also visible. Company E stresses that *"organizational agility is very important"* for mobilizing resources quickly; Company

G emphasizes remaining flexible as markets change; and Company D, in a highly specialized sector, identifies innovation as central, noting that *"our industry is 100% driven by innovation"*. These correspond to the sensing-seizing-reconfiguring logic of dynamic capabilities (Teece, 2007) and the agility emphasis of the resilience literature (Malik & Terzidis, 2025).

A country-specific finding concerns legitimacy as a resource. Company A argues that Swedish firms enjoy a strong reputation in the U.S., perceived as „*highly skilled industry leaders"*, enabling them to compete with much larger U.S. corporations. This connects to the country-of-origin legitimacy mechanism (Chen et al., 2024) and supports the idea that home-country reputation can partly offset the disadvantages of size. The evidence is one-sided, however: there is a clear account of Swedish legitimacy but no comparable German data, so the finding illustrates the mechanism without allowing a genuine comparison.

Digital technologies form a distinct strand of the capability profile, supporting regulatory monitoring, market analysis, and risk assessment. Company E uses internal systems and occasional AI tools to *"analyze which products are affected"* by tariffs; Company F calls digital tools *"essential"* for reacting *"rapidly to new regulations"*; Company G, fully digital, treats market and regulatory monitoring as routine; and Company B uses tools such as CreditSafe for risk assessment and market intelligence. These function as internal resources that strengthen the sensing dimension of adaptive capacity, consistent with the resource-based view and dynamic capabilities theory (Barney, 1991; Teece, 2007). For several firms these tools are neither new nor U.S.-specific — Company B uses them *"globally, not only for the U.S. market"* — so the firms are mainly applying existing routines to a more demanding environment. And Company A cautions that while there is *"more data available than ever before"*, there is *"also much more noise"*, so that *"what matters being how you use the technology"*, underlining the role of managerial cognition (Weick, 1995; Ocasio, 1997). Digital tools thus reinforce monitoring and risk assessment rather than enabling the anticipatory, scenario-based planning the resilience literature emphasizes.

The firms' resilience posture is predominantly reactive: Company B describes *"a mix between proactive and reactive measures"*, but Companies D, E, and G characterize their approach as primarily reactive. Against the three-stage model of resilience, anticipation, coping, and adaptation, the firms appear strong on coping and incremental adaptation but weak on anticipation. As Section 5.2 noted, this is less a capability failure than a rational stance given genuine policy reversibility, though it does create a mild tension with a literature that advocates anticipation and scenario planning. Finally, Company G's call for stronger SME associations to gain bargaining power *"almost like a large company"* points toward collective resilience, achieved through collaboration rather than internal capability-building alone.

In conclusion, the four themes that have emerged across this chapter reveal a consistent pattern of adaptation that is neither passive nor transformative. The firms perceive geoeconomic uncertainty as structural and politically driven, yet respond by preserving commitment and protecting optionality rather than retreating or restructuring. Local embeddedness substitutes for capabilities they cannot maintain in-house, and a predominantly reactive resilience posture reflects rational calibration to genuine policy reversibility rather than a failure of strategic planning. These patterns confirm several aspects of the theoretical framework while complicating others, and their implications for IB theory, managerial practice, and policy are discussed in Chapter 6.

6 Conclusion

This chapter restates the study's objective and answers the research questions in Section 6.1. Section 6.2 then discusses the theoretical, managerial, policy, societal, and sustainability implications of the findings and presents a revised conceptual framework. Section 6.3 considers the limitations of the study, and Section 6.4 offers suggestions for further research.

6.1 Answers to the Research Questions

This research study examined how Swedish and German SMEs operating in the U.S. respond to, and strategically adapt under, conditions of increasing U.S.-centered geoeconomic uncertainty. It set out to shift attention away from the large MNEs that dominate existing research toward smaller, more resource-constrained firms; to trace how these firms perceive policy-driven uncertainty and how those perceptions translate into concrete strategic responses; and to adopt a comparative perspective on whether national institutional context shapes adaptation. These objectives were addressed through three subquestions and one main research question.

What types of geopolitical and geoeconomic risks in the U.S. market are perceived as most relevant by Swedish and German SMEs?

The risks the firms emphasized were, for the most part, not tariff rates but regulatory unpredictability and the compliance burden it generates. Across the sample, firms described the central problem as the difficulty of planning in an environment where measures change "*overnight*", where state-level regulation fragments the market so that "*operating in New York is one thing, operating in Mississippi is completely different*", and where the binding issue is often not the cost of a tariff but uncertainty over "*which imports were affected*" and "*what data had to be provided*". This administrative and interpretive load was experienced as distinctly SME-specific, since smaller firms "*often don't even have a dedicated customs department*" and "*cannot afford large legal departments*". A second clear pattern is that the firms did not perceive this uncertainty as confined to the U.S. They consistently framed it as a

global condition, pointing to the war in Ukraine, Middle East tensions, China-Taiwan dynamics, and the lasting effects of the COVID-19 pandemic. The risks perceived as most relevant, therefore, are policy-driven regulatory volatility and compliance complexity, understood as one expression of a broader, structural fragmentation rather than a U.S.-specific shock.

Which strategic adaptation and resilience mechanisms do Swedish and German SMEs employ in response to this uncertainty?

The firms adapted through five overlapping mechanisms, but with a clear hierarchy among them. At the market level, adaptation took the form of continuity combined with selective, incremental portfolio rebalancing rather than exit. Operationally, firms made moderate adjustments, like supplier diversification, shorter-term and hedged pricing, larger inventories in place of just-in-time structures, though these were incremental rather than structural and several were not specific to the U.S. at all. Relationally, firms deepened their reliance on local partners and networks, which emerged as the most prominent response across the sample. Politically, engagement was present but thin, indirect, and collective, channeled mainly through industry associations. Cognitively, firms responded by intensifying due diligence, heightening risk awareness, and expanding digital monitoring. In resilience terms, the firms were strong on coping and incremental adaptation but weak on anticipation: few engaged in systematic scenario planning. This reactive posture is best understood not as passivity but as a considered response to genuine policy reversibility, when measures are announced, adjusted, delayed, and already being legally questioned, committing resources in advance risks locking the firm into responses that later prove unnecessary. Local network embeddedness and sensing capabilities, rather than internal restructuring, were the mechanisms the firms relied on most.

What similarities and differences exist between Swedish and German SMEs in their strategic responses to U.S.-centered geoeconomic uncertainty?

The most honest answer is that the study found considerably more similarity than difference, and that the variation it did observe was not national in character.

Swedish and German firms converged closely on how they perceived the environment, on their refusal to withdraw, on the centrality of local networks, and on their predominantly reactive posture. Where firms diverged — most visibly in whether they read the uncertainty as temporary or structural, and in whether they adapted through supply chains or through flexible resource reallocation — the divergence tracked managerial interpretation and industry sector, not the Swedish/German distinction. The service-versus-manufacturing divide in particular explained more of the observed variation than nationality did. The comparative institutional differences anticipated in the literature review could not be strongly evidenced with the present sample, partly because the sample did not contain the firm types in which those differences would be most visible. Rather than treat this as a failure to answer, the study takes it as a finding in its own right: for SMEs in this setting, industry exposure and managerial sensemaking appear to outweigh home-country institutional context, and this constitutes a sharpened, testable proposition for future research.

Main question: How do Swedish and German SMEs respond strategically to geopolitical and geoeconomic uncertainty in the U.S. market?

The central finding is that the studied SMEs respond through continuity-preserving adaptation rather than retreat. Despite describing the U.S. environment in unusually stark terms — "*the biggest in the 21st century*", a market of "*super low visibility*" — not a single firm reported considering withdrawal, and none reported reducing, pausing, or reversing investment because of geopolitical uncertainty. Instead, firms preserved their commitment to the U.S. while preserving flexibility: maintaining multiple supplier relationships, relying on distributors rather than owned facilities, keeping diversification as a standing option, and deepening local partnerships that compensate for capabilities they cannot maintain in-house. Adaptation was therefore real but measured — incremental operational and relational adjustment, indirect and collective political engagement, and intensified cognitive monitoring — rather than the dramatic value-chain restructuring associated with large MNEs. Within the constraints of limited capital, thin diversification, and an absence of

dedicated regulatory functions, the firms pursued the strategy that real options logic would predict protecting optionality and avoiding irreversible commitments in either direction.

In conclusion, Swedish and German SMEs emerge from this study as neither passive recipients of geoeconomic uncertainty nor agile strategic restructurers, but as firms practicing a disciplined middle path of commitment preservation under reversible, policy-driven uncertainty. They absorb a rising interpretive and compliance burden, lean heavily on local embeddedness as a substitute for in-house capability, and calibrate their responses to the genuine possibility that current conditions may not last. The strategic logic they follow is shaped less by their Swedish or German origin than by their industry exposure and by how their managers interpret the uncertainty they face. This points to a picture of SME adaptation that is coherent and rational, but distinct in form from the MNE-centered accounts that dominate the existing literature.

6.2 Implications

6.2.1 Theoretical Implications

The theoretical gaps identified in Section 1.2 concerned the limited firm-level and comparative evidence on how SMEs respond to U.S.-centered geoeconomic uncertainty, the tendency of IB research to treat the U.S. as institutionally stable, and the fact that the relevant theoretical perspectives – internationalization theory, real options theory, de-internationalization research, the institution-based view, and managerial sensemaking — had developed largely in parallel. The following contributions address these gaps.

Extending Geoeconomic Risk Research from MNEs to SMEs

The study's most general contribution is to extend research on geoeconomic risk from large MNEs to SMEs. The findings show that SMEs are not simply scaled-down MNEs. Where the MNE literature (Witt et al., 2023; Wang et al., 2025) emphasizes value-chain restructuring, regionalization, and the building of parallel

operations, the dominant SME response observed here is commitment preservation combined with selective, incremental adjustment. This provides direct empirical support for the study's initial premise that adaptation strategies identified among large corporations cannot be transferred uncritically to smaller firms, and it gives firm-level grounding to a literature that has so far described geoeconomic risk mainly at the macro level.

Reactivity as Rational Optionality and the Limits of De-internationalization

The study contributes to real options theory (Tong & Reuer, 2007) by applying it to a setting the literature has rarely addressed — one in which uncertainty originates in the strategic behavior of a host state rather than in country-level instability. The firms' reactive posture and their preference for flexible, low-commitment arrangements are well explained by option-preservation logic, and the study shows that reactivity, often perceived as a weakness, can be a rational response to genuine policy reversibility. Relatedly, the near-absence of withdrawal speaks to de-internationalization research (Benito & Welch, 1997): under conditions that this literature would associate with reduced commitment, the firms instead defaulted to continuity. This suggests that de-internationalization frameworks may overpredict retreat for resource-constrained firms whose limited diversification makes exit itself costly.

Embeddedness as a Capability Substitute

For the revised Uppsala model (Johanson & Vahlne, 2009), the study extends the concept of the liability of outsidership. It shows that for SMEs, local embeddedness is less a strategic choice than a structural necessity, because local partners substitute for the legal, regulatory, and customs capabilities that smaller firms cannot afford to internalize. This connects the relational mechanism directly to dynamic capabilities theory (Teece, 2007), in which firms compensate for internal capability gaps through external relationships. The study also shows that under an *"America first"* climate the outsider disadvantage becomes politically and structurally produced,

not merely informational, extending the concept beyond its original network-knowledge framing.

Managerial Cognition and Institutional Volatility in a "Stable" Market

The study supports recent arguments (Patsiaouras et al., 2026) that the U.S. can no longer be treated as institutionally stable within its borders; for the firms studied, the regulative pillar itself had become a source of volatility. It further brings a cognitive layer into geoeconomic risk research, which has tended to treat firm responses as following mechanically from environmental conditions. Drawing on sensemaking and the attention-based view (Weick, 1995; Ocasio, 1997), the study shows that managerial interpretation of whether the uncertainty is temporary or structural varied at the firm and individual level and directly shaped the responses firms pursued. This positions managerial cognition as an interpretive mechanism mediating between perceived uncertainty and strategic response.

Industry Sensitivity over National Context

The contribution to comparative institutional analysis is more cautious but still informative. The study did not find the national divergence that the Varieties of Capitalism framework (Hall & Soskice, 2001) would predict at the SME level. Instead, industry exposure, particularly the contrast between service and manufacturing firms, and managerial cognition explained variation more convincingly than home-country institutions. This is a meaningful result rather than an inconclusive one: it suggests that, for SMEs facing a common external shock, sector and interpretation may carry more weight than national institutional context, a proposition future research can test directly.

6.2.2 Revised Conceptual Framework

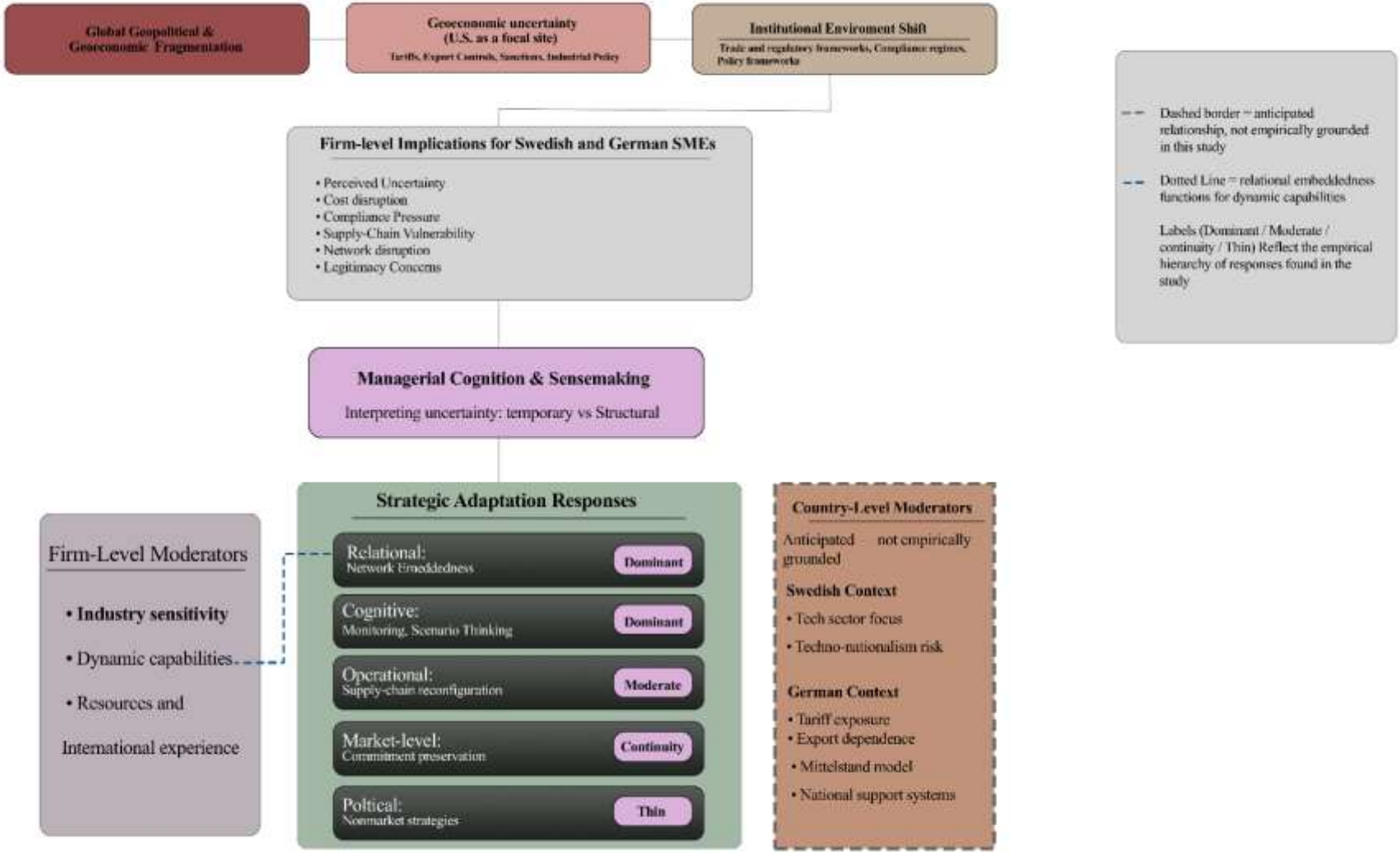


Figure 2. Revised Conceptual Framework (Selzer and Ljung, 2026)

While the empirical findings broadly confirm the conceptual framework presented in Section 2.10 — its transmission logic from macro-level fragmentation, through geoeconomic uncertainty and institutional shifts, to firm-level implications and strategic adaptation, held across the cases — they also justify five refinements, captured in the revised framework (see Figure 2). First, the primary external driver is broadened from "U.S.-centered geoeconomic uncertainty" to global geoeconomic fragmentation, with the U.S. as a focal but not exclusive site, reflecting the firms' consistent perception that the uncertainty is global in character. Second, the five response categories are reweighted: the typology is retained, but the model now represents the empirical hierarchy observed among SMEs, in which relational and cognitive responses dominate, operational response occupies a moderate position, market-level response is characterized by continuity rather than commitment adjustment, and political response is thin and collective. Third, managerial cognition and sensemaking are elevated from one firm-level moderator among several to a central interpretive mechanism, positioned between perceived uncertainty and strategic response and explicitly identified as a firm- and individual-level rather than national-level variable. Fourth, industry sensitivity is foregrounded as the primary factor within the firm-level moderators, reflecting its observed role in conditioning both the intensity and the form of strategic adaptation. Finally, the country-level moderators are repositioned as anticipated but not yet empirically grounded, retained as an explicit, testable proposition rather than a confirmed component. The revised framework thus offers a more accurate account of how resource-constrained firms actually adapt and provides a sharper foundation for future research.

6.2.3 Managerial Implications

Preserving Commitment while Preserving Flexibility

The clearest practical implication is that, under reversible and policy-driven uncertainty, the most viable strategy is to preserve commitment while preserving optionality. The firms in this study neither abandoned the U.S. nor over-committed to it, and this middle path — maintaining multiple supplier relationships, using distributors rather than owned facilities, and keeping diversification as a standing option

— is a defensible response to an environment in which both exit and large irreversible investment carry real risk. Managers should be cautious about expensive, hard-to-reverse responses to measures that may themselves be reversed.

Investing in Interpretive Capacity, Not Only Capital

The binding constraint these firms faced was not primarily capital but the capacity to interpret and absorb regulatory complexity. Building or acquiring regulatory monitoring and compliance interpretation, through staff, advisors, or partners, addresses the bottleneck that mattered most. Managers who treat regulatory navigation as a core capability rather than an administrative afterthought are better positioned to adapt quickly when conditions change.

Treating Local Embeddedness as a Strategic Decision

For firms that cannot maintain in-house legal, regulatory, and customs functions, the quality of local partners effectively determines the firm's adaptive capacity. Local embeddedness should therefore be treated as a core strategic decision rather than an operational detail, and partner selection as a decision with long-term consequences for the firm's ability to operate under uncertainty.

Engaging in Collective Action

Individually, SMEs have little political weight, but industry associations and bilateral business councils allow them to share intelligence and amplify their voice. Several firms in this study explicitly called for stronger collective structures so that smaller firms could "*act together*" and gain "*more bargaining power*, a*lmost like a large company*". Managers who treat association membership as a genuine strategic channel, rather than a formality, gain access to early warning and representation they cannot generate alone.

Closing the Anticipation Gap

The study identified a clear anticipation gap: firms were competent at coping but weak at preparing. Even lightweight scenario thinking – working through escalating

and de-escalating policy paths – would strengthen resilience, provided it is kept proportionate to the genuine unpredictability of the environment. For banks, consultancies, and trade-promotion bodies, the findings also signal a concrete opportunity, as advisory services focused on regulatory navigation emerged as an area of growing demand.

6.2.4 Policy, Societal & Sustainability Implications

Policy: Redesigning SME Support for a Volatile Trading Order

The central policy implication is that existing SME export-promotion systems in Sweden, Germany, and the EU were largely designed for a stable, rules-based trading order and are not well matched to politically driven volatility. The firms' accounts suggest that the most useful form of support is not additional help with market entry but help with regulatory and compliance navigation – monitoring regulatory developments, interpreting their implications, and translating them for smaller firms. Policymakers should also strengthen collective representation structures, since these allow SMEs to compensate for their individual lack of political weight. More broadly, because the compliance burden of regulatory volatility falls disproportionately on firms without dedicated legal and customs functions, predictability of trade policy is itself a form of SME support; Company B made this point directly in arguing that "*protectionist measures are hurting SMEs the most*". Policymakers pursuing European strategic autonomy and friendshoring agendas should also note that SMEs cannot relocate production at scale, and that policy assuming reshoring is a realistic SME response risks designing for firms that do not exist.

Societal: SME Resilience and Employment Stability

The resilience of the SME sector is a matter of public interest beyond the firms themselves. SMEs account for roughly 55% of employment in both Sweden and Germany, so their capacity to absorb geoeconomic shocks without contraction has direct consequences for employment stability and regional economic security. Supporting SME resilience is, in this sense, not only a competitiveness objective but a social one, and the study's finding that SMEs default to commitment preservation

rather than retreat is, from a societal perspective, a measure of stability worth protecting through predictable policy.

Sustainability: The Resilience–Efficiency Trade-off

The sustainability implications are mixed and should not be overstated. The shift the firms described – from efficiency toward resilience, expressed through larger inventories, supplier redundancy, and partial duplication of supply arrangements – carries environmental costs, since redundancy and buffer stock are less resource-efficient than lean, integrated structures. There is a genuine tension between geopolitical resilience and environmental sustainability that both firms and policymakers will need to manage rather than ignore. Recognizing this trade-off explicitly, rather than treating resilience and sustainability as automatically compatible, is the more useful contribution the study can make here.

6.3 Limitations of the Study

While this study offers valuable insight into SME adaptation under geoeconomic uncertainty, several limitations should be acknowledged. First, the study is based on seven qualitative cases and does not claim statistical generalizability. This was a deliberate methodological choice consistent with the interpretivist design and purposive sampling, which prioritizes depth of understanding and analytical transferability over generalization; the aim was to explain mechanisms rather than measure their distribution.

Second, two features of the sample warrant particular honesty. Two of the seven participating organizations are financial institutions rather than SMEs in their own right. As stated in Section 3.5.2, they were included for their close collaboration with SMEs and their broader perspective on market developments, and that vantage point proved genuinely valuable, but it does mean that part of the evidence is observation of other firms rather than direct firm-level experience. In addition, the sample's composition constrained the comparative ambition of the study: several firms operate in financial or consulting sectors, the sample contains no German

automotive “Mittelstand” SME and no Swedish technology-exporting SME exposed to export controls, and the most substantially U.S.-engaged exporter is in fact German. As a result, the Swedish/German comparison central to the original design could not be tested as strongly as intended. This reflects a real recruitment difficulty, of 128 firms contacted, only seven agreed to participate, which is itself informative, as it mirrors the structural reality that intensive engagement with the U.S. market requires resources beyond the reach of many SMEs.

Third, the study is bound to a particular moment. The interviews were conducted in spring 2026, during an unusually volatile period of U.S. trade policy, and the findings should be read as a snapshot of how firms reasoned under those specific conditions. The study cannot, by its nature, resolve whether the uncertainty the firms described will prove temporary or structural; it can only document how firms interpreted that question.

Fourth, four interviews were conducted in German and translated into English, which introduces a degree of interpretive risk, mitigated but not eliminated by one author being a native German speaker. Finally, the data are self-reported and therefore subject to the usual possibility of social desirability bias and retrospective rationalization, which the study addressed through careful questioning and cross-checking with participants where possible. Despite these limitations, the study's interpretivist design, inductive approach, and rigorous qualitative methodology remain well aligned with its objective of developing theoretical understanding and practical insight rather than statistical generalization.

6.4 Future Research Suggestions

Building on the findings and limitations of this study, several avenues for further research emerge. The clearest follows directly from the sample limitation discussed above: the Swedish/German comparison this study set up but could not fully deliver should be tested with a purpose-built, matched sample, for example, German automotive or machinery “Mittelstand” SMEs alongside Swedish technology-exporting SMEs genuinely exposed to export controls and investment screening. Such a

design would allow the techno-nationalism mechanism and the varieties of Capitalism prediction to be assessed properly and would establish whether national institutional context matters more than the present evidence suggested.

Second, a longitudinal research design would be valuable. Because the study found that firms defaulted to continuity, an open question is whether that continuity holds as uncertainty persists, or whether prolonged fragmentation eventually pushes SMEs toward the de-internationalization the cross-sectional evidence did not show. Tracking the same firms over several years would also help resolve the temporary-versus-structural question the firms themselves could not answer.

Third, the revised conceptual framework proposed in Section 6.2.1, particularly the reweighted response typology and the elevated roles of industry sensitivity and managerial cognition, invites quantitative testing on a larger sample to establish how widely these patterns hold.

Fourth, the sensemaking mechanism deserves dedicated study: future research could examine more closely how owner-managers form their time-horizon judgments and how those judgments predict strategic response.

Fifth, sector-specific research could investigate the service-versus-manufacturing distinction directly, and high-technology SMEs exposed to export controls in particular, since this firm type was central to the framework's predictions but absent from the present sample.

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Appendix 1: Interview Guide

Before we begin, we would like to ask if it is okay if we record this interview? This recording is solely intended to ensure that we do not miss any relevant information during our analysis.

Your participation in this study is entirely voluntary. You have the right to:

- Decline to answer any question
- Stop the interview at any time
- Withdraw from the study at any point during the research process
- Request that any or all data collected from you be deleted

Once the research project has been completed, all collected data will be deleted in accordance with GDPR regulations. Only the two researchers conducting this study, along with our academic supervisor and examiner at Linnaeus University will have access to the collected data. The information you provide will remain strictly within the scope of this master's thesis project and will not be shared externally.

You have the option to remain anonymous in the thesis. If we intend to use a direct quote from you in the final thesis, we will contact you before submission to confirm whether you approve of the quotation being included.

The data collected during this interview will serve solely as a source of empirical material for our master's thesis. During the writing process, the thesis will be shared with classmates and professors for academic feedback. Upon completion, the final thesis will be published on the open academic platform DiVA.

If you have any questions, concerns, or require further clarification at any point during the interview, please feel free to ask.

With this information in mind, do you consent to participate in this study?

Theme 1: Firm Background & U.S. Market Engagement

1. Can you briefly describe your company's activities and its involvement in the U.S. market?
2. How long have you been exporting to or operating in the U.S.?
3. How important is the U.S. market to your overall business (e.g., revenue share, export share, strategic relevance)?
4. What products or services do you export to the U.S.?

Theme 2: Perception of Geoeconomic Uncertainty

5. How would you describe the current business environment in the U.S. compared to previous years?
6. Compared to other export markets (e.g., EU or Asia), do you perceive the U.S. market as more uncertain today?
7. Have you experienced increased uncertainty related to tariffs, regulations, or political developments?
   - If so, how has this affected your business?
8. Have your exports been affected by specific U.S. tariff threats or trade policy changes?
   - Which products or business areas were most affected?
   - What was the financial impact (e.g., cost increases, reduced margins, lost sales)?
9. To what extent do U.S. trade policies influence your company's strategic planning?
10. Do you perceive the current uncertainty as temporary or structural?
11. What future scenarios do you consider most relevant regarding geoeconomic uncertainty affecting SMEs?
12. Which geopolitical or regulatory developments in recent years have had the most significant impact on your company?

13. Do you see differences in how companies or sectors (e.g., manufacturing, tech, services, green tech) respond to this uncertainty?

Theme 3: Strategic Adaptation (Core Section)

Operational Adaptation

14. Have you made changes to your supply chain, sourcing, or production structure in response to U.S. trade developments?
15. Have tariffs or regulatory changes affected your pricing, cost structure, profit margins, or competitiveness?
16. How has your company responded to these cost pressures?
17. Has your company considered or implemented:
    - Relocating production or parts of the supply chain to avoid tariffs?
    - Increasing local production in the U.S.?
    - Forming partnerships to bypass tariffs?

Market Adaptation

18. Have you adjusted your market focus, customer segments, or export strategy due to U.S. uncertainty?
19. Have you considered diversifying away from the U.S. market? Why or why not?
20. Has your company shifted investments or export expansion efforts toward other regions because of U.S. trade policies?
21. Have you reduced, paused, or delayed investments in the U.S. market due to tariff or policy uncertainty?
22. Does your company consider establishing subsidiaries or local manufacturing in the U.S. to be a strategic response?

Institutional and Regulatory Adaptation

23. Have U.S. regulatory requirements or compliance obligations changed in recent years?
24. How does your company monitor and respond to geopolitical and regulatory developments?
25. Do you receive or provide support to help companies monitor and respond to regulatory changes?

Financial and Risk Management Adaptation

26. What risk-management strategies do you use to deal with macro-level uncertainty? *(e.g., hedging, diversification, financing adjustments)*
27. Have you observed changes in your demand for:
    - Financing
    - Advisory services
    - Credit structures

    as geoeconomic uncertainty has increased?
28. What advisory or financial tools do you consider most effective for SMEs facing uncertainty in the U.S.?

Theme 4: Networks & Embeddedness (Uppsala Perspective)

29. How important are local partnerships, distributors, or networks in managing uncertainty in the U.S.?
30. Have you strengthened, changed, or restructured partnerships due to political or regulatory changes?

Theme 5: Internal Capabilities & Resilience (RBV / Dynamic Capabilities)

31. Do digital tools or technologies help your company respond to uncertainty in the U.S. market?

    Such as:

    - Monitoring regulations
    - Supply chain flexibility
    - Market intelligence
    - Risk assessment

Theme 6: Internal Capabilities & Resilience

32. What internal capabilities are most important for managing uncertainty in foreign markets?

    For example:

    - Financial flexibility
    - Innovation capacity
    - Organizational agility
    - Strategic planning capabilities
33. Would you say your company responds to geopolitical changes more proactively or reactively?

Closing Questions

34. Compared to larger companies, do you think SMEs are more vulnerable to geopolitical changes? Why?
35. If you could advise policymakers, what support would help SMEs better navigate U.S.-related uncertainty?

Appendix 2: Interviewleitfaden

Bevor wir beginnen, möchten wir Sie fragen, ob es in Ordnung ist, wenn wir dieses Interview aufzeichnen? Diese Aufzeichnung dient ausschließlich dazu, sicherzustellen, dass uns bei unserer Auswertung keine relevanten Informationen entgehen.

Ihre Teilnahme an dieser Studie ist vollkommen freiwillig. Sie haben das Recht:

- die Beantwortung einer Frage zu verweigern
- das Interview jederzeit zu beenden
- zu jedem Zeitpunkt während des Forschungsprozesses aus der Studie auszusteigen
- zu verlangen, dass einige oder alle von Ihnen erhobenen Daten gelöscht werden

Sobald das Forschungsprojekt abgeschlossen ist, werden alle erhobenen Daten gemäß den Bestimmungen der DSGVO gelöscht. Nur die beiden Forscher, die diese Studie durchführen, sowie unser akademischer Betreuer und Prüfer an der Linnaeus-Universität haben Zugriff auf die gesammelten Daten. Die von Ihnen bereitgestellten Informationen bleiben streng auf den Rahmen dieses Masterarbeitsprojekts beschränkt und werden nicht nach außen weitergegeben.

Sie haben die Möglichkeit, in der Masterarbeit anonym zu bleiben. Sollten wir beabsichtigen, ein direktes Zitat von Ihnen in der Abschlussarbeit zu verwenden, werden wir Sie vor der Einreichung kontaktieren, um zu bestätigen, ob Sie mit der Aufnahme des Zitats einverstanden sind.

Die während dieses Interviews gesammelten Daten dienen ausschließlich als Quelle für empirisches Material für unsere Masterarbeit. Während des Schreibprozesses wird die Arbeit an Kommilitonen und Professoren weitergegeben, um akademisches Feedback einzuholen. Nach Fertigstellung wird die endgültige Arbeit auf der offenen akademischen Plattform DiVA veröffentlicht.

Sollten Sie zu irgendeinem Zeitpunkt während des Interviews Fragen, Bedenken oder den Wunsch nach weiteren Erläuterungen haben, können Sie diese gerne äußern.

Sind Sie unter Berücksichtigung dieser Informationen damit einverstanden, an dieser Studie teilzunehmen?

Thema 1: Unternehmenshintergrund und Engagement auf dem US-Markt

1. Können Sie kurz die Aktivitäten Ihres Unternehmens und dessen Engagement auf dem US-Markt beschreiben?
2. Seit wann exportieren Sie in die Vereinigten Staaten bzw. sind dort tätig?
3. Wie wichtig ist der US-Markt für Ihr Gesamtgeschäft (z. B. Umsatzanteil, Exportanteil, strategische Bedeutung)?
4. Welche Produkte oder Dienstleistungen exportieren Sie in die Vereinigten Staaten?

Thema 2: Wahrnehmung geoökonomischer Unsicherheit

5. Wie würden Sie das aktuelle Geschäftsumfeld in den Vereinigten Staaten im Vergleich zu den Vorjahren beschreiben?
6. Halten Sie den US-Markt im Vergleich zu anderen Exportmärkten (z. B. EU oder Asien) heute für unsicherer?
7. Haben Sie eine zunehmende Unsicherheit in Bezug auf Zölle, Vorschriften oder politische Entwicklungen festgestellt?
    - Wenn ja, wie hat sich dies auf Ihr Unternehmen ausgewirkt?
8. Wurden Ihre Exporte durch konkrete US-Zollandrohungen oder Änderungen der Handelspolitik beeinträchtigt?
    - Welche Produkte oder Geschäftsbereiche waren am stärksten betroffen?
    - Welche finanziellen Auswirkungen hatte dies (z. B. Kostensteigerungen, geringere Margen, Umsatzverluste)?
9. Inwieweit beeinflusst die US-Handelspolitik die strategische Planung Ihres Unternehmens?
10. Halten Sie die derzeitige Unsicherheit für vorübergehend oder strukturell bedingt?
11. Welche Zukunftsszenarien halten Sie im Hinblick auf die geoökonomische Unsicherheit, die KMU betrifft, für am relevantesten?

12. Welche geopolitischen oder regulatorischen Entwicklungen der letzten Jahre hatten die größten Auswirkungen auf Ihr Unternehmen?
13. Sehen Sie Unterschiede darin, wie Unternehmen oder Branchen (z. B. Fertigung, Technologie, Dienstleistungen, grüne Technologien) auf diese Unsicherheit reagieren?

Thema 3: Strategische Anpassung

Operative Anpassung

14. Haben Sie als Reaktion auf die Handelsentwicklungen in den USA Änderungen an Ihrer Lieferkette, Ihrer Beschaffung oder Ihrer Produktionsstruktur vorgenommen?
15. Haben sich Zölle oder regulatorische Änderungen auf Ihre Preisgestaltung, Kostenstruktur, Gewinnmargen oder Wettbewerbsfähigkeit ausgewirkt?
16. Wie hat Ihr Unternehmen auf diesen Kostendruck reagiert?
17. Hat Ihr Unternehmen Folgendes in Betracht gezogen oder umgesetzt:
    - Verlagerung der Produktion oder von Teilen der Lieferkette, um Zölle zu vermeiden?
    - Ausweitung der lokalen Produktion in den USA?
    - Bildung von Partnerschaften, um Zölle zu umgehen?

Marktanpassung

18. Haben Sie Ihren Marktschwerpunkt, Ihre Kundensegmente oder Ihre Exportstrategie aufgrund der Unsicherheit in den USA angepasst?
19. Haben Sie eine Diversifizierung weg vom US-Markt in Betracht gezogen? Warum oder warum nicht?
20. Hat Ihr Unternehmen aufgrund der US-Handelspolitik Investitionen oder Maßnahmen zur Ausweitung des Exports in andere Regionen verlagert?
21. Haben Sie Investitionen in den US-Markt aufgrund von Unsicherheiten hinsichtlich Zöllen oder der Politik reduziert, ausgesetzt oder verzögert?

22. Erwägt Ihr Unternehmen die Gründung von Tochtergesellschaften oder die Einrichtung lokaler Produktionsstätten in den USA als strategische Reaktion?

Institutionelle und regulatorische Anpassung

23. Haben sich die regulatorischen Anforderungen oder Compliance-Verpflichtungen in den USA in den letzten Jahren geändert?
24. Wie beobachtet Ihr Unternehmen geopolitische und regulatorische Entwicklungen und reagiert darauf?
25. Erhalten Sie Unterstützung oder bieten Sie Unterstützung an, um Unternehmen dabei zu helfen, regulatorische Änderungen zu beobachten und darauf zu reagieren?

Anpassung des Finanz- und Risikomanagements

26. Welche Risikomanagementstrategien wenden Sie an, um mit Unsicherheiten auf Makroebene umzugehen? (z. B. Absicherung, Diversifizierung, Anpassungen der Finanzierung)
27. Haben Sie Veränderungen bei Ihrer Nachfrage nach folgenden Bereichen festgestellt:
    - Finanzierung
    - Beratungsdienstleistungen
    - Kreditstrukturen

    angesichts der zunehmenden geoökonomischen Unsicherheit?

28. Welche Beratungs- oder Finanzinstrumente halten Sie für am effektivsten für KMU, die in den USA mit Unsicherheit konfrontiert sind?

Thema 4: Netzwerke und Einbettung (Uppsala-Perspektive)

29. Wie wichtig sind lokale Partnerschaften, Vertriebspartner oder Netzwerke für den Umgang mit Unsicherheiten in den USA?
30. Haben Sie Partnerschaften aufgrund politischer oder regulatorischer Veränderungen gestärkt, verändert oder umstrukturiert?

Thema 5: Interne Fähigkeiten & Resilienz (RBV / Dynamische Fähigkeiten)

31. Helfen digitale Tools oder Technologien Ihrem Unternehmen dabei, auf Unsicherheiten auf dem US-Markt zu reagieren?

    Zum Beispiel:

    - Beobachtung von Vorschriften
    - Flexibilität der Lieferkette
    - Marktinformationen
    - Risikobewertung

Thema 6: Interne Fähigkeiten und Widerstandsfähigkeit

32. Welche internen Fähigkeiten sind für den Umgang mit Unsicherheiten auf ausländischen Märkten am wichtigsten?

    Zum Beispiel:

    - Finanzielle Flexibilität
    - Innovationsfähigkeit
    - Organisatorische Agilität
    - Fähigkeiten zur strategischen Planung

33. Würden Sie sagen, dass Ihr Unternehmen eher proaktiv oder eher reaktiv auf geopolitische Veränderungen reagiert?

Abschließende Fragen

34. Glauben Sie, dass KMU im Vergleich zu größeren Unternehmen anfälliger für geopolitische Veränderungen sind? Warum?
35. Wenn Sie politische Entscheidungsträger beraten könnten, welche Unterstützung würde KMU helfen, besser mit Unsicherheiten im Zusammenhang mit den USA umzugehen?